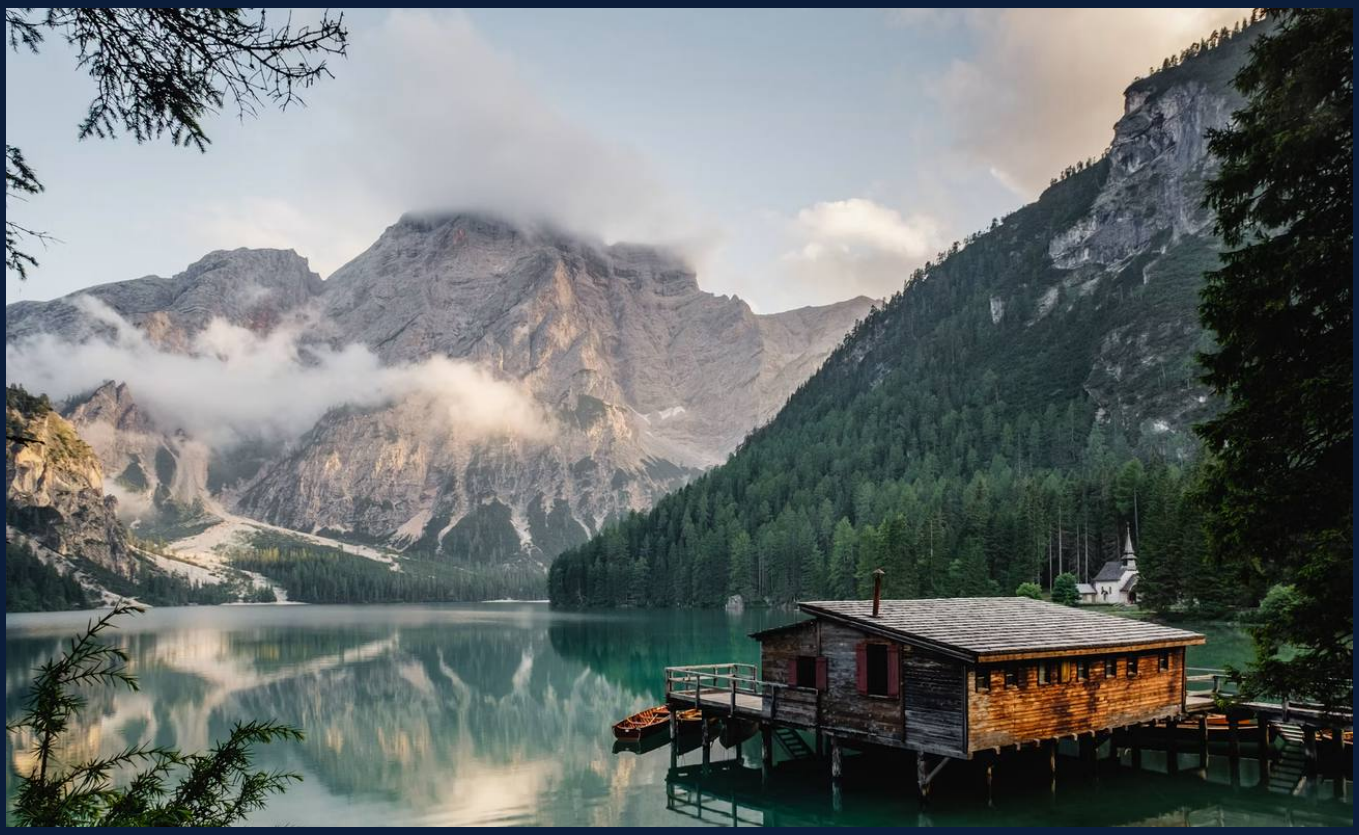
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2026/27 EDITION · UPDATED FOR BUDGET 2026



The 45% Club

The complete financial planning guide for *additional rate taxpayers*

£125,140
Where the additional rate begins, and the planning landscape changes

49%
The additional rate on savings and property income from April 2027, set in Budget 2026

6 April 2027
The date most unused pensions enter the inheritance tax estate

Educational content only. Not financial advice.

Inside the *45% Club*

Once income crosses £125,140, decisions across pensions, investments, protection and estate structure start to interact. This guide maps what additional rate taxpayers commonly review, in the order it tends to matter.

THE INTERACTIVE EDITION

Four live calculators and the latest rule changes, online at

45-percent-club.trustevo.co.uk

Important information. This guide is for general educational purposes only and is not financial, investment or tax advice. Speak with an FCA-regulated financial adviser before acting on anything in it. TrustEvo is an introductions service and is not authorised or regulated by the FCA.

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Budget

UPDATED 28 OCTOBER 2026

What the Budget *Changed*

The 28 October 2026 Budget left income tax rates and thresholds alone. It raised tax on savings and property income again, halved the BADR lifetime limit and kept the cash ISA at £20,000.

IN THIS CHAPTER

- What changed
- What did not change
- Other measures worth knowing

This section sets out what the Budget changed for additional rate taxpayers, what it left in place, and where each topic is covered in the rest of the guide. Every figure here is taken from the Budget 2026 document and the Overview of Tax Legislation and Rates published on GOV.UK on 28 October 2026.

What changed

Savings income, additional rate	Property income, additional rate	BADR lifetime limit	Cash ISA limit
49%	**49%**	**£500,000**	**£20,000**
From 6 April 2027 (45% in 2026/27)	From 6 April 2027 (45% in 2026/27)	From 6 April 2027 (was £1 million)	Planned cut to £12,000 cancelled

Tax on savings interest and property income

The 2025 Budget had already announced a two percentage point rise in the tax rates on savings income and property income from 6 April 2027. This Budget adds a further two points from the same date. From 2027/28 the savings rates become 24%, 44% and 49% at the basic, higher and additional rates, and these apply across the UK. Property income moves onto its own rates at the same levels in England, Wales and Northern Ireland; the Scottish and Welsh governments can set their own property rates.

Income type	2026/27	From 6 April 2027
Earnings and pension income	20% / 40% / 45%	20% / 40% / 45% (unchanged)
Savings income (interest)	20% / 40% / 45%	24% / 44% / 49%
Property income	20% / 40% / 45%	24% / 44% / 49%
Dividends	10.75% / 35.75% / 39.35%	10.75% / 35.75% / 39.35% (unchanged)

An additional rate taxpayer has no personal savings allowance, so from April 2027 every £1,000 of interest earned outside an ISA or pension would carry £490 of tax.

The same £1,000 received as dividends above the £500 allowance would carry £393.50. The relative tax position of cash, bonds and equities held outside a wrapper therefore shifts; Chapter 6 covers how each wrapper treats each type of income, and Chapter 3 covers cash reserves. For landlords, the property rates apply to rental profit, and Chapter 3 covers buy-to-let debt.

Business Asset Disposal Relief and the new Founders' Relief

The lifetime limit on gains that qualify for Business Asset Disposal Relief falls from £1 million to £500,000 for qualifying disposals made on or after 6 April 2027. The BADR rate stays at 18%. On a £1 million qualifying gain, the half above the new limit would be taxed at the main 24% rate instead of 18%, around £30,000 more in tax. Special provisions apply to contracts entered into before 6 April 2027 that have not yet completed.

The Budget also announced a new Founders' Relief: a 10% capital gains tax rate on qualifying disposals of shares in high growth companies by founders and early investors, from 6 April 2027. The published rates table shows a £10 million lifetime limit, reduced by any BADR or Investors' Relief claimed from that date. The qualifying rules are the subject of a technical consultation closing on 30 November 2026, so the detail is not yet final. Chapter 15 covers business owner planning.

The cash ISA limit stays at £20,000

The reduction in the cash ISA limit to £12,000 for most people under 65, previously planned for April 2027, will not go ahead. The overall ISA limit remains £20,000 a year, and it can all be held in cash. The Junior ISA limit stays at £9,000. With the savings rates rising from 2027, interest earned inside an ISA remains free of tax.

What did not change

- **Income tax rates and thresholds:** the £12,570 personal allowance, tapered away between £100,000 and £125,140, and the 45% additional rate above £125,140. Thresholds remain frozen until April 2031, so the 60% band in Chapter 1 is unchanged.
- **Dividend tax:** 10.75%, 35.75% and 39.35%, with the £500 dividend allowance.
- **Capital gains tax:** 18% and 24%, with a £3,000 annual exempt amount.

- **Pensions and inheritance tax:** most unused pension funds and death benefits still come into the estate from 6 April 2027, as legislated in Finance Act 2026. Only minor technical amendments were announced. Chapter 14 covers the change.
- **Pension allowances:** the £60,000 annual allowance, tapering from £260,000 of adjusted income, the £10,000 money purchase annual allowance and the £268,275 Lump Sum Allowance.
- **Salary sacrifice:** the £2,000 National Insurance cap on sacrificed pension contributions from 6 April 2029 stands. Chapter 5 covers it.
- **Inheritance tax thresholds:** the £325,000 nil-rate band and £175,000 residence nil-rate band, frozen until April 2031.

Other measures worth knowing

- **Pension death benefits:** the two-year rule has been removed for payments made on or after 28 October 2026, so tax-free death benefits no longer become taxable solely because they are paid more than two years after the scheme learned of the death.
- **State Pension:** a new Pension Tax Allowance applies from April 2027 to April 2030 for pensioners whose total income is no more than the full new State Pension, and the triple lock will be adjusted from April 2030 so that the State Pension broadly tracks earnings over time.

ANNOUNCED, NOT YET LAW

Most of these measures take effect on 6 April 2027 and are due to be legislated in Finance Bill 2026-27, which can be amended before it becomes law. Sources: the Budget 2026 document, the Overview of Tax Legislation and Rates and its Annex A rates and allowances. This section is educational only and is not financial or tax advice.



Key dates

BEFORE YOU BEGIN

What Changes, *and When*

Two upcoming legislative changes, one from April 2027, one from April 2029, are likely to materially affect pension planning for some individuals with additional rate income levels. This is an overview; the detailed planning implications are covered in the chapters that follow.

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6 APRIL 2027

Pensions entering the IHT estate

Up to 67%*

**Worst-case scenario, most estates face materially lower effective rates.*

*From 6 April 2027, **most unused Defined Contribution pension funds** are expected to be included in the Inheritance Tax estate, where previously they typically sat outside it. Transfers to a surviving spouse or civil partner remain exempt; death-in-service benefits from registered pension schemes are also excluded. Where an estate sits within the available nil-rate bands (up to £1m combined for a couple in some cases), no IHT is due. Above those bands, in a worst-case scenario, a combined IHT + income tax rate of up to approximately 67% can arise (see the explainer below).*

6 APRIL 2029

Salary sacrifice NIC cap

£2,000 cap

Applies to salary sacrifice only; direct employer contributions remain NIC-free.

*From 6 April 2029, under the National Insurance Contributions (Employer Pensions Contributions) Bill, **salary-sacrificed** pension contributions above £2,000 per tax year are due to lose their National Insurance exemption. Direct employer pension contributions outside a salary sacrifice arrangement are not affected. The practical impact on take-home pay depends on the employer's arrangement, specifically, whether NIC savings are currently passed through into the pension and how the employer chooses to handle future NIC on the excess.*

Why can inherited pension wealth face up to 67% in tax?

A common question. Most inherited assets face Inheritance Tax on the estate value and then pass to beneficiaries without further income tax. Pensions are different. They are a tax-deferred savings vehicle: contributions were made with income tax relief, and withdrawals have always been taxable as income on the person drawing them, whether that is the original holder or a beneficiary (where the original holder died after age 75). From April 2027, most unused DC pension funds also enter the IHT estate, adding a second layer of tax in specific circumstances.

Where both layers apply, they stack:

- Layer 1: 40% IHT on pension value above available nil-rate bands (after any spousal exemption)
- Layer 2: Beneficiary's marginal income tax rate on any drawdown (applies only if the original holder died after age 75)

For an additional-rate beneficiary drawing the full amount in a single tax year, the combined effect can reach approximately 67%. For a higher-rate beneficiary around 64%; basic-rate around 52%. If the original holder died before age 75, only the IHT layer applies, and in many estates the effective rate is materially lower, or zero, where the estate sits within available nil-rate bands.

Why these two changes together matter:

Taken together, the two changes may affect both the building phase (the 2029 salary sacrifice cap, where applicable) and the transfer phase (the 2027 IHT change, where applicable) for some individuals. Coordinating a response to both, where either applies to you, is one of the themes of this guide.

*In a worst-case scenario only. The 67% figure assumes 40% IHT stacked with 45% income tax on beneficiary drawdown, where the original pension holder died after age 75 and the estate exceeds available nil-rate bands. In the majority of estates, effective rates will be significantly lower. Actual outcomes depend on individual circumstances, beneficiary tax status, the availability of spousal exemption and residence nil-rate band, and the form in which the pension is drawn. The change is legislated in Finance Act 2026 and takes effect from 6 April 2027. For educational purposes only, this guide does not constitute financial, tax, estate or investment advice. You should consult an FCA-regulated financial adviser and, for estate matters, a qualified solicitor.

2027

Pensions enter the IHT estate

From 6 April 2027, most unused DC pension funds are expected to count towards inheritance tax. Tax on savings and property income also rises, to 49% at the additional rate.

2028

Pension access age rises to 57

The minimum access age rises from 55, reshaping the early-retirement bridge for anyone now in their early fifties.

2029

Salary-sacrifice NI cap

Sacrificed pension contributions above £2,000 a year are due to lose their National Insurance exemption.

2031

Thresholds frozen to 2031

Income-tax and IHT thresholds hold still while pensions, prices and property rise, pulling more income and more estates into tax every year.

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01

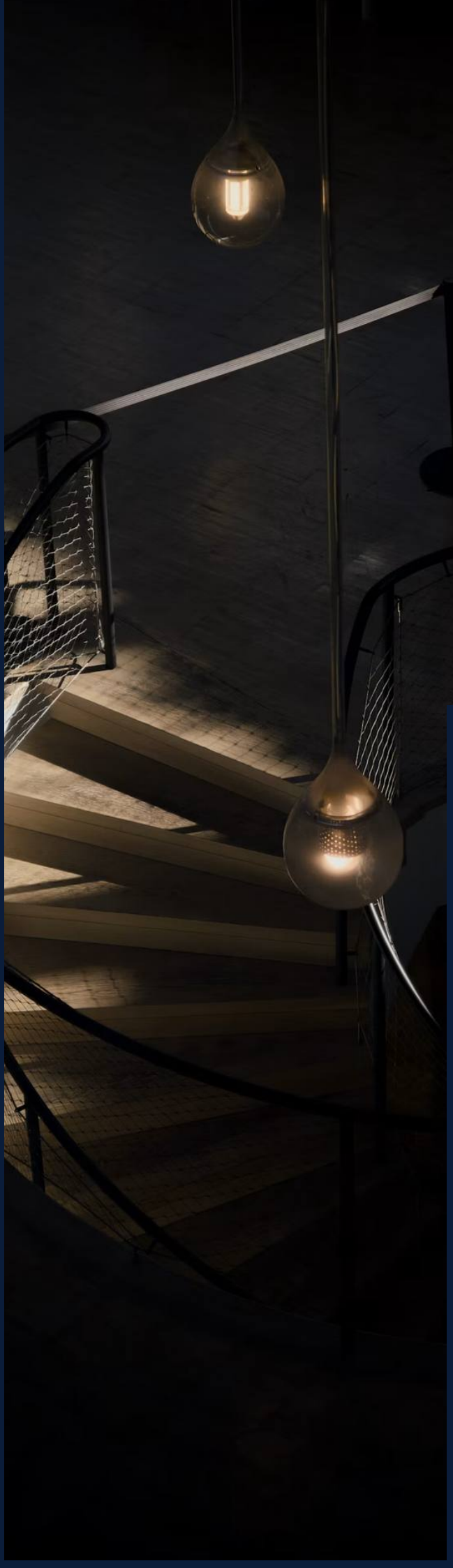
CHAPTER 01 · WHERE PLANNING BEGINS

The *60% Tax Band*

The most expensive marginal tax rate in the UK is not 45%. For individuals with taxable income between £100,000 and £125,140, every additional pound is effectively taxed at approximately 60%. It is the single most consequential, and most overlooked, pressure point in personal finance for higher earners.

IN THIS CHAPTER

- Who falls into it
- Planning levers that often come into view
- Pension contributions
- Salary sacrifice
- Charitable giving via Gift Aid
- Timing of bonuses and income events



> *The 60% band is often overlooked. It rarely appears on a payslip or in a workplace pension tool, yet within its range, it can materially affect the net outcome of bonuses, share vests and pay rises.*

The 60% effective rate is not a legislated tax band. It is the mechanical consequence of two rules operating at the same time:

1. **The additional £1 of income** is taxed at the higher rate of 40%.
2. **The personal allowance reduces** by £1 for every £2 of income over £100,000, which means that same £1 of extra income triggers the loss of £0.50 of personal allowance, effectively bringing a further £0.50 into tax at 40%.

Combined, £1 of additional income in this range can generate approximately £0.60 of additional tax. By £125,140, the personal allowance has been fully withdrawn and the marginal rate returns to 40% (or 45% for income above £125,140).

THE MATHS, 2026/27

On £1,000 of additional income between £100,000 and £125,140:

- Income tax at 40% = £400
- Personal allowance reduced by £500, which is effectively brought into the 40% band = £200
- **Total additional tax on that £1,000 = £600 (60%)**

For someone earning £120,000, a £5,000 bonus can generate £3,000 of additional tax, leaving just £2,000 take-home.

Who falls into it

The 60% band affects more people than most realise. It is commonly encountered by:

- Higher-rate professionals receiving bonuses that push them over £100,000
- Business owners who take a mix of salary and dividends
- Employees with share-based compensation (RSUs, options) vesting in a single tax year
- Landlords whose rental income, once stacked on employment income, crosses the threshold
- Retirees with pension drawdown, rental income and investment income combining above £100,000
- Couples where one partner is well into the 45% band and the other is not, highlighting where household allowances may be under-used

WHY IT MATTERS

The 60% band is often invisible until year-end. It rarely appears on a payslip, rarely triggers an HMRC warning, and rarely shows up in workplace pension tools. Many earners discover it for the first time when their accountant or self-assessment return reveals that a bonus or share vest produced meaningfully less net income than expected.

Planning levers that often come into view

A number of planning considerations commonly emerge once income is in or near the £100,000–£125,140 range. Each has specific rules, constraints and interactions, and suitability depends heavily on personal circumstances. Common areas that are reviewed include:

Pension contributions

Pension contributions reduce taxable income pound-for-pound (up to the annual allowance and earnings limit), which means they can reduce or eliminate exposure to the 60% band entirely. For someone earning £110,000 who contributes £10,000 into a pension, the effective tax relief on that £10,000 contribution can reach 60%, a relief rate unavailable almost anywhere else in the tax system.

Salary sacrifice

Where available, salary sacrifice into pension contributions also removes National Insurance from the same income. This is due to change materially from April 2029, when salary-sacrificed contributions above £2,000 a year will no longer be NI-exempt. Chapter 5 discusses the 2029 change in detail.

Charitable giving via Gift Aid

Gift Aid donations extend the basic-rate band by the gross amount and also reduce adjusted net income, which can restore some of the personal allowance that would otherwise be tapered away.

Timing of bonuses and income events

For individuals with discretion over when income is received (business owners, share-scheme participants, those considering deferred compensation), income timing across tax years can influence how much falls into the 60% band in any given year.

> **WHY THIS CHAPTER COMES FIRST**
>
> For many additional rate taxpayers, the 60% band is the single highest-leverage planning opportunity in the tax system. Tax planning decisions made anywhere else in this guide (pension sequencing, wrapper selection, dividend timing, year-end gifting) all rest on whether baseline income is managed around this band. That is why we start here. Everything else builds on it.



CHAPTER 02 · THE TAX LANDSCAPE

Tax Planning for *Additional Rate Taxpayers*

02

The 2026/27 tax year continues a trend that has quietly reshaped the economics of earning, investing and accumulating wealth in the UK: frozen thresholds, rising dividend rates, lower allowances, and a tax system where higher earners increasingly interact with multiple rules at once. This chapter maps the landscape as it now stands.

IN THIS CHAPTER

- Income tax bands: 2026/27
- Dividend tax and CGT: what's changed from April 2026
- Fiscal drag: the quiet effect of frozen thresholds
- Planning considerations at the additional rate

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Income tax bands: 2026/27

The core income tax thresholds remain frozen through the 2026/27 tax year, a continuation of the freeze originally announced in 2021. The thresholds have not increased with inflation since the 2021/22 tax year, and are legislated to remain frozen until April 2031.

Band	Income Range	Rate
Personal Allowance	£0 – £12,570	0%
Basic Rate	£12,571 – £50,270	20%
Higher Rate	£50,271 – £125,140	40%
Additional Rate	£125,141+	45%
Personal Allowance Taper	£100,000 – £125,140	Effective 60% (see Chapter 1)

Thresholds quoted apply to England, Wales and Northern Ireland. Scotland operates a different set of bands and rates for non-savings, non-dividend income, which are set by the Scottish Parliament.

Dividend tax and CGT: what's changed from April 2026

Two significant changes took effect from 6 April 2026, both announced in the 2025 Autumn Budget:

Dividend tax, basic rate	Dividend tax, higher rate	Dividend tax, additional rate	Dividend allowance
10.75%	35.75%	39.35%	£500
Up from 8.75% (2025/26)	Up from 33.75% (2025/26)	Unchanged	Unchanged, historic low

The 2% rise at the basic and higher rates affects dividends from investment portfolios held outside tax-advantaged wrappers, as well as dividend income drawn by company directors. For someone with £30,000 of dividend income in the higher-rate band, the rise means approximately £600 more tax per year than under the 2025/26 rates, on the same gross dividend.

Capital gains tax continues at the rates introduced following the 2024 Autumn Budget:

Type	Basic-rate taxpayer	Higher/additional-rate taxpayer
Standard CGT rate	18%	24%
Business Asset Disposal Relief (BADR)	18% (up from 14% from 6 April 2026); lifetime limit falls from £1m to £500,000 from 6 April 2027	
Annual exempt amount	£3,000	

The rise in the BADR rate to 18% is a significant shift for business owners approaching a sale. BADR applies to the first £1 million of qualifying lifetime gains on a qualifying business disposal. A sale that would have incurred £140,000 of CGT at the 14% rate in 2025/26 now incurs £180,000 under the 18% rate, approximately £40,000 more on a £1m gain. Budget 2026 then halved the lifetime limit to £500,000 for disposals on or after 6 April 2027, so from that date only the first £500,000 of gains qualifies for the 18% rate.

VCT INCOME TAX RELIEF, REDUCED FROM APRIL 2026

Venture Capital Trust (VCT) income tax relief has reduced from 30% to 20% on new subscriptions, affecting the upfront tax advantage of VCT investing. The annual subscription limit of £200,000 remains in place. VCTs are covered in more detail in Chapter 6.

Fiscal drag: the quiet effect of frozen thresholds

Fiscal drag occurs when tax thresholds remain static while earnings rise with inflation. Even without a change in the tax system, more income becomes taxable at higher rates over time. For high earners, this means three compounding effects:

- **More income pushed into the 40% band** as salaries and bonuses grow while the £50,270 higher-rate threshold holds firm.
- **More earners pulled into the 45% additional rate** as wage inflation moves people over the £125,140 threshold.
- **More earners pulled into the 60% band** between £100,000 and £125,140, where the personal allowance taper operates.

Over a multi-year horizon, passive financial decisions can result in a meaningfully higher proportion of income being taxed at higher marginal rates, not because tax rules have changed, but because income has grown past thresholds that did not move with it.

Planning considerations at the additional rate

For individuals taxed at 45%, financial decisions increasingly sit within a broader structural context. A number of common themes emerge at this level.

Coordination across income sources

Taxable income is cumulative. Employment earnings, bonuses, rental income, dividends, interest, pension drawdown and share-scheme proceeds all stack within the same tax year. Decisions taken in isolation, for example, timing a property sale or realising a share-scheme windfall, can push income into higher-rate territory that baseline earnings alone would not reach.

Pension annual allowance and tapering

The standard pension annual allowance remains £60,000 for 2026/27. For high earners, this can be reduced through the tapered annual allowance where “adjusted income” exceeds £260,000, the allowance then reduces by £1 for every £2 above the threshold, to a minimum of £10,000. The taper is covered in depth in Chapter 5.

Allowance use across the household

At the additional rate, household financial planning often considers how allowances (personal allowance, ISA allowance, dividend allowance, CGT annual exempt amount) are distributed across two individuals rather than one. Where one partner is in the additional rate and the other is not, decisions around how investment capital and income-generating assets are held can materially affect net household outcomes, subject to personal circumstances and the rules governing gifts between spouses.

Investment wrapper positioning

At higher marginal rates, the difference between sheltered and unsheltered investment returns compounds more significantly over time. ISAs, pensions, bonds and GIAs each interact with income and capital gains taxation differently. Wrapper positioning is covered in detail in Chapter 6.

Tax year timing

Several planning levers are tied to the tax year end. Pension contributions, ISA subscriptions, CGT realisations, dividend extractions for business owners, and charitable giving via Gift Aid all operate within specific annual limits. For individuals with discretion over the timing of significant income or gains events, the interaction between tax years becomes an active planning consideration.

> **WHY THIS MATTERS**
>
> For many additional rate taxpayers, the most valuable planning work is not about finding a single “best” product. It is about how multiple decisions, taken over multiple tax years, compound. Two people with identical gross earnings can experience meaningfully different net outcomes over a decade purely because of structure, coordination, and timing. At the additional rate, effective planning is often less about any single decision and more about how those decisions interact over time.



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03

CHAPTER 03 · THE GROUNDWORK

Cash Reserves & *Debt Management*

Before tax optimisation, investment structure or retirement modelling becomes meaningful, two less glamorous areas typically need to be in order: how much cash is held in accessible reserves, and how a household's debt, almost always dominated by a mortgage, is structured. For additional rate taxpayers and their households, these decisions can matter more than the choice of any individual investment.

IN THIS CHAPTER

- Emergency cash reserves
- Mortgage strategy for additional rate taxpayers
- Overpayment vs pension contribution: the classic additional rate question
- Student loans & effective marginal rates
- Buy-to-let and property debt

Emergency cash reserves

Emergency reserves exist to absorb financial shocks without forcing the sale of long-term assets at the wrong moment. For a household supported by an additional rate taxpayer, common shocks include: unexpected job change (particularly in bonus-led roles where timing matters), a family illness that disrupts earnings, a large uninsured repair, or a short-term squeeze during a business transition.

How much is “enough”?

The conventional guidance, 3 to 6 months of essential expenses in accessible cash, typically underestimates what individuals with additional rate income levels and their households need. Reasons for holding more include:

- **Variable income components** (bonuses, commission, dividends) can make monthly income irregular. The reserve cushions the gap between income arrival points.
- **Higher fixed outgoings** (large mortgages, school fees, private health) make the consequences of a shortfall more acute.
- **Career risk** at senior roles can mean longer gaps between engagements; 9–12 months of cash is not unusual.
- **Business owners and self-employed** professionals often hold 12 months of personal expenses plus 3–6 months of business runway.

A WORKING FRAMEWORK, 2026/27

For a household with an additional rate taxpayer and dependants:

- **3 months** of full outgoings, instantly accessible (current account + instant-access savings)
- **3–6 additional months** in a notice account or Cash ISA earning competitive interest
- **Premium Bonds** may be used for a portion of this tier for the tax-free prize draw and preservation of capital (up to £50,000 per person)

For sole-earner households, bonus-heavy roles, or business owners: typically extend the reserve to 9–12 months.

The cost of holding too much cash

Excess cash reserves carry a real cost: inflation erodes purchasing power. At 3% inflation, £100,000 in cash earning 3.5% effectively grows by 0.5% in real terms, before interest tax. For an additional-rate taxpayer with all interest taxable (personal savings allowance is £0 at 45%), the same £100,000 may earn less than inflation in real terms. From 6 April 2027 the savings additional rate rises to 49% (Budget 2026), widening that gap.

The implication: hold enough cash to absorb shocks comfortably, but beyond that threshold, additional capital typically works harder inside a tax-efficient wrapper (ISA, pension, GIA) than in further cash reserves.

Mortgage strategy for additional rate taxpayers

Mortgages held by individuals with additional rate income levels typically sit in the £500,000 – £1,500,000 range, and the structural choices made around them compound over decades. The key levers:

Repayment vs interest-only

A repayment mortgage reduces principal alongside interest, ending with a fully paid-off property. An interest-only mortgage pays only the interest throughout the term, leaving the full principal to be repaid at maturity, typically through a parallel investment vehicle (ISA portfolio, business sale proceeds, or pension tax-free lump sum, subject to the Lump Sum Allowance covered in Chapter 5).

Interest-only is common at higher incomes because it preserves monthly cashflow for investment or pension contributions. The risk is structural: if the parallel investment underperforms, the principal gap widens. Capacity to absorb this risk is the key test.

Offset mortgages

An offset mortgage links the mortgage account to a savings account. Money held in the savings account reduces the mortgage balance on which interest is charged. For higher-rate taxpayers, this is often more efficient than holding cash in a regular savings account, the “return” from reduced mortgage interest is effectively tax-free, whereas savings interest at the additional rate would be taxed at 45%, rising to 49% from April 2027. Offset products are less common in the UK market than they once were, but remain meaningful for some borrowers.

Remortgaging cadence

Most UK mortgages are fixed-rate deals of 2, 3, 5 or 10 years, after which they revert to the lender's standard variable rate (typically materially higher). Missing a remortgage by even a few months can cost thousands in additional interest. A structured remortgage review calendar, initiated 6 months before rate end, comparing rates through a broker or directly, is a simple discipline that compounds over a 25-year mortgage term into very material savings.

Overpayment vs pension contribution: the classic additional rate question

Many additional rate taxpayers ask: should I overpay the mortgage or add to the pension?

The answer is rarely universal. It depends on (a) the marginal rate of tax relief available on pension contributions, (b) the mortgage interest rate, (c) age and time to retirement, (d) capacity for volatility, and (e) access requirements. Some structural considerations:

Factor	Favours mortgage overpayment	Favours pension contribution
Current marginal rate	Basic rate (20%)	40% or 45%, or within the 60% band
Mortgage rate	High (5%+)	Low (under 4%)
Age / horizon	Close to retirement, rate-sensitive	10+ years from retirement
Flexibility need	High (want debt-free optionality)	Low (happy to lock funds to pension access age)
Pension allowance	Already fully used	Unused headroom / carry forward available

For a higher-rate taxpayer with a mortgage at 4.5% and unused pension annual allowance, a £10,000 pension contribution typically yields more long-term value than a £10,000 mortgage overpayment, because the effective cost of £10,000 into a

pension (after tax relief) is £6,000 for a higher-rate taxpayer or £5,500 for an additional-rate taxpayer, and that contribution then compounds tax-free.

For someone caught in the 60% band between £100,000 and £125,140, the pension contribution economics become unusually favourable. A £10,000 gross pension contribution has an effective net cost of approximately £4,000, with £6,000 of tax relief coming from basic-rate relief, higher-rate relief via self-assessment, and recovery of personal allowance that would otherwise have been tapered away. The £10,000 is then invested tax-efficiently within the pension wrapper.

THE BROADER POINT

At additional rate income levels, these trade-offs are rarely binary. A coordinated plan often makes use of both levers, staged overpayments that preserve flexibility alongside pension contributions that capture tax relief. The precise split depends on personal circumstances and typically benefits from modelling.

Student loans & effective marginal rates

For mid-career additional rate taxpayers who entered UK higher education under Plan 2 (2012–2022) or Plan 5 (from September 2023), student loan repayments increase the effective marginal rate of deductions from earnings, often by more than the headline income tax bands alone suggest.

Plan 2: borrowers 2012–2022

- Repayments: 9% of income above £29,385 (2026/27 threshold, then frozen for three years from 2027/28)
- Written off 30 years after first repayment became due
- Interest: RPI to RPI+3%, depending on income

Plan 5: borrowers from September 2023

- Repayments: 9% of income above £25,000 (frozen until 2027)
- Written off 40 years after first repayment

- Interest: RPI

The combined marginal rate

For a higher-rate taxpayer with a Plan 2 loan outstanding:

- Income tax (40%) + employee NI (2% above the upper threshold) + student loan (9%) = **51% effective marginal rate**
- For an additional-rate taxpayer: 45% + 2% + 9% = **56%**
- Inside the 60% band between £100,000 and £125,140 with a Plan 2 loan: the effective rate can reach **70%+**

For individuals likely to repay their loan in full well before the 30/40 year write-off, voluntary overpayments can make financial sense: every £1 overpaid reduces future 9% deductions permanently. For those unlikely to repay in full before write-off, voluntary overpayment is typically not optimal. Modelling the balance vs remaining years is key.

Buy-to-let and property debt

For landlords, the tax economics of buy-to-let mortgages changed materially following the phased implementation of Section 24 (full effect from April 2020). Mortgage interest is no longer fully deductible from rental income for individual landlords; instead, a 20% tax credit applies.

For a higher or additional-rate landlord, this effectively means mortgage interest is relieved at 20% rather than 40% or 45%, producing a material tax increase on geared property investments. From 6 April 2027, rental profit is also taxed at separate property rates of 24%, 44% and 49% (Budget 2026). Common planning implications include:

- **Incorporation:** holding BTL properties through a limited company, where mortgage interest remains fully deductible against rental profit. Trade-offs include corporation tax (currently 25% main rate), SDLT on transfer into the company (including the 5% higher-rate surcharge), CGT on the transfer, and different lending economics.
- **Gearing reduction:** reducing the loan-to-value on BTL properties to limit the Section 24 drag.

- **Joint ownership / spouse allocation:** in unequal split ownership with an election, rental income may be allocated to the lower-earning spouse where appropriate.
- **Furnished Holiday Let rules:** the preferential FHL regime was abolished from April 2025. Former FHL properties now fall under standard residential property rules, eliminating the CGT reliefs and mortgage interest treatment that previously applied.

> **PROPERTY PLANNING NOTE**
>
> BTL taxation, incorporation, and SDLT interactions are highly technical and individual. The “right” structure depends on number of properties, LTV, personal tax position, time horizon and intended succession. Decisions around incorporation in particular are difficult to reverse and typically benefit from specialist professional input.



CHAPTER 04 · THE FOUNDATION

04

Protection: A Foundation *Often Overlooked* at Higher Income Levels

Tax efficiency and investment strategy are visible. They appear in statements, in portfolio updates, in year-end reviews. Protection is less visible, often until the moment it is needed. For individuals with significant incomes and dependent lifestyles, it is frequently the most under-reviewed area of financial planning.

IN THIS CHAPTER

- Why protection matters more at higher incomes
- Life cover: common structures
- Income protection
- Critical illness cover
- Death-in-service: a common blind spot

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Why protection matters more at higher incomes

An additional rate taxpayer typically supports a household whose fixed costs reflect that income, mortgage size, school fees, lifestyle commitments, dependants, and often sizeable debt obligations. The higher the income, the greater the gap between what salary sustains and what savings alone could replace.

Common features of the household supported by an additional rate taxpayer include:

- A mortgage often in the £500,000–£1,500,000 range, sometimes on an interest-only basis
- Multiple dependants for whom private education or housing costs extend for decades
- Investment assets that are unrealised (pension, EIS, business equity) and cannot be easily accessed for income
- Employer benefits that partially overlap with personal cover but are rarely reviewed together
- Limited understanding of how quickly accumulated savings can deplete once salary stops

The financial consequence of a serious illness or death can be far more significant where an additional rate taxpayer is the primary income provider than for a basic-rate household with identical savings, because the income being replaced is larger, and the fixed outgoings sustained by that income are larger too.

A COMMON GAP

Many additional rate taxpayers carry protection that was arranged when they were earlier in their career, a 20-year term life policy taken out at age 32 when the mortgage was £250,000, never revisited after income doubled, the family grew, and the mortgage was extended. Protection that is fit for purpose at one income level is frequently inadequate a decade later.

Life cover: common structures

Life insurance at higher incomes is typically structured around the specific risks a household faces, rather than as a single undifferentiated product.

Level term assurance

Pays a fixed lump sum if the insured person dies within the term. The premium and sum assured both remain level. Commonly used to cover a specific debt or a capital lump sum target, for example, a £1 million interest-only mortgage running for 20 years.

Decreasing term assurance

The sum assured reduces over time, typically in line with an amortising mortgage. Cheaper than level term, but less useful where the underlying liability does not reduce on a straight line (or at all, in the case of interest-only debt).

Family Income Benefit (FIB)

Rather than paying a lump sum on death, FIB pays a regular tax-free income to dependants for the remainder of the policy term. For households where the primary concern is maintaining monthly cash flow rather than clearing a single debt, FIB can provide more tailored coverage, and is often less expensive than equivalent lump-sum cover for the same net benefit.

Whole-of-life assurance

Pays out whenever the insured person dies, not within a fixed term. Typically more expensive than term assurance, and frequently used for estate planning rather than dependant protection, specifically, to provide liquidity to meet an expected inheritance tax liability. Chapter 14 discusses whole-of-life in the IHT planning context.

TRUST OWNERSHIP

Where appropriate, life policies can be written in trust so that the payout sits outside the deceased's estate for IHT purposes, and is typically paid more quickly to beneficiaries without needing to wait for probate. Writing policies in trust is generally free at outset, but is frequently overlooked. For higher earners

with larger estates, policies held outside trust can create avoidable IHT exposure on the payout itself.

Income protection

Income protection pays a regular tax-free income (typically up to 60–70% of gross salary) if the insured person is unable to work due to illness or injury, after a deferred period. Benefits usually continue until recovery, return to work, or retirement age.

For many additional rate taxpayers, income protection is the single most under-arranged cover, despite the probability of a period of long-term illness during a working life being materially higher than the probability of death before retirement.

Common planning considerations include:

- **Deferred period:** How long sick pay from the employer (if any) will run, which defines when income protection would need to step in. A 3-month, 6-month or 12-month deferred period materially affects premium costs.
- **Definition of incapacity:** "Own occupation" definitions (pays out if unable to perform your specific job) are generally more protective than "any occupation" definitions (pays out only if unable to perform any suitable work).
- **Benefit ceiling:** Policies typically cap the benefit at a percentage of gross earnings. For very high earners, this can mean the policy provides a smaller proportion of income than the headline percentage suggests.
- **Employer group income protection:** Some employers provide income protection as a benefit. Coverage levels, definitions, and portability on leaving the role are frequently different from what an individual policy would provide.

Critical illness cover

Critical illness cover pays a tax-free lump sum on diagnosis of one of a defined list of serious conditions, commonly cancer, heart attack, stroke, multiple sclerosis, and similar. Unlike income protection, it pays on diagnosis rather than inability to work, and pays once (usually) rather than as an ongoing income.

Critical illness and income protection are often described as complementary rather than alternative products. Critical illness addresses the immediate capital needs that can follow a serious diagnosis (home adaptations, specialist treatment, loss of income during treatment), while income protection addresses the ongoing replacement of earnings for as long as recovery takes.

Policy quality varies more in critical illness than in most other protection products. The list of defined conditions, the definitions themselves, and the presence or absence of “enhanced” or “severity-based” payouts all materially affect what a policy will and will not pay.

Death-in-service: a common blind spot

Many additional rate taxpayers are members of a workplace death-in-service scheme providing 4x to 10x salary as a tax-free lump sum to dependants. On paper, this can look like significant cover. In practice, a number of features are often overlooked.

It ends when employment ends

Death-in-service cover generally ceases the moment employment ends, including resignation, redundancy, or a career break. A senior professional who has relied on employer cover for two decades can find themselves with no life insurance overnight on leaving a role, at an age when individually-priced cover has become significantly more expensive.

TWO ALLOWANCES, OFTEN CONFUSED

Since April 2024 pension lump sums have been governed by two separate limits. The **Lump Sum Allowance (LSA)** of **£268,275** caps the tax-free cash that can be taken during life. The **Lump Sum and Death Benefit Allowance (LSDBA)** of **£1,073,100** is the wider limit covering tax-free lump sums paid both in life and on death.

The two interact: tax-free cash taken in life uses up LSDBA as well as LSA. Death-in-service cover, where it is paid from a registered pension scheme, tests against the LSDBA, which is why a large multiple-of-salary benefit can consume

a meaningful part of it before pension death benefits are considered at all. Protections held from earlier regimes can change both figures.

The pension lifetime allowance interaction (historic)

Until the pension Lifetime Allowance (LTA) was abolished in April 2024, death-in-service payouts from registered pension schemes could, above the LTA, trigger significant tax charges. The LTA has been replaced by the Lump Sum and Death Benefit Allowance (LSDBA), currently £1,073,100, which applies to tax-free lump-sum death benefits across a lifetime. Death-in-service payouts from registered schemes continue to count towards this allowance. For very high earners with material pension assets, this interaction can still affect the effective value of employer-provided death-in-service cover.

It may not coordinate with personal cover

Where personal term assurance has been arranged on top of employer death-in-service cover, the two are often arranged separately and reviewed separately. Whether the total coverage level is appropriate, and whether the layering is IHT-efficient, is frequently unreviewed.

WHY THIS CHAPTER SITS BEFORE RETIREMENT PLANNING

Retirement planning and wealth accumulation both assume continuity of income. Protection is what keeps the rest of the plan operable if that continuity is interrupted. For additional rate taxpayers and their households, it is rarely the most exciting area of planning, but it is frequently the area where a modest annual premium guards against the outcome that would otherwise undermine every other decision in this guide.

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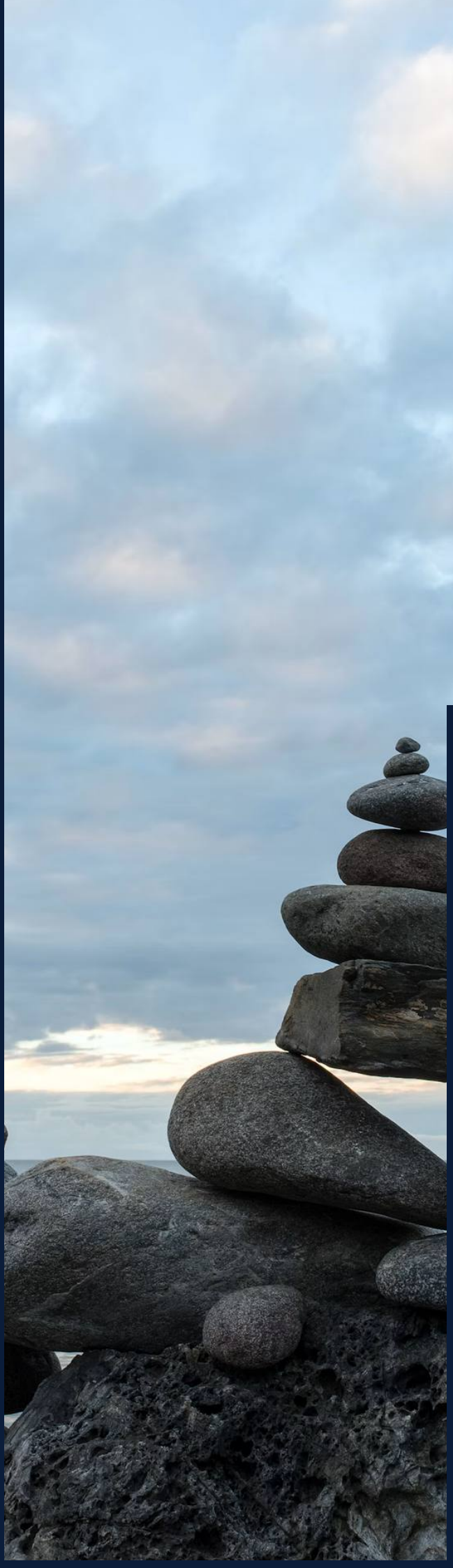
CHAPTER 05 · BUILDING THE PENSION

Pension Funding & *the Allowances*

The annual allowance is not a fixed number. It moves with income, and it moves downwards. Threshold income, adjusted income, carry forward and the money purchase annual allowance decide between them how much can actually be contributed in any given year, and the answer is often smaller than expected at exactly the point earnings are highest.

IN THIS CHAPTER

- The annual allowance framework
- The tapered annual allowance: a threshold that catches high earners
- Carry forward: a strategic lever
- The Money Purchase Annual Allowance (MPAA)
- Key allowance thresholds: 2026/27



The final 5–10 working years are often peak earning years. They are also the years where pension rules become more sensitive, and where one upcoming legislative change, from April 2029, reshapes the economics of salary sacrifice for higher earners.

The annual allowance framework

Under current rules, the standard annual allowance allows up to **£60,000 per tax year** in pension contributions (subject to earnings and scheme rules). This includes employee contributions, employer contributions, and salary sacrifice.

The tapered annual allowance: a threshold that catches high earners

For higher earners, the annual allowance reduces once adjusted income exceeds threshold levels.

WORKED EXAMPLE

Tapering in practice: James, age 54

- £200,000 salary
- £100,000 dividends
- Employer contributes £20,000
- James contributes £40,000
- Total pension contribution = £60,000

Threshold income = £260,000 (income less his own £40,000 contribution, so above the £200,000 threshold).

Adjusted income = £320,000 (income plus employer contribution). This exceeds the £260,000 taper threshold by £60,000.

His annual allowance reduces by £30,000 (£1 for every £2 over) to **£30,000**.

If £60,000 is contributed, £30,000 exceeds the tapered allowance and may be subject to an annual allowance charge.

Without modelling adjusted income precisely, higher earners may assume £60,000 is fully allowable. It may not be.

The minimum tapered annual allowance is £10,000, reached once adjusted income exceeds £360,000.

Carry forward: a strategic lever

Unused annual allowance from the previous three tax years may be available. This is particularly useful in:

- Bonus years
- Business sale years
- Income spike years

However: you must have been a scheme member in those years, calculations must be accurate, and contributions must occur in the correct tax year. Carry forward is powerful, but technical.

The Money Purchase Annual Allowance (MPAA)

One of the most commonly misunderstood rules. If you take taxable income from a DC pension (beyond the tax-free lump sum), the MPAA may be triggered.

Once triggered:

- Future DC contribution capacity reduces significantly (to £10,000 per year)
- Carry forward may no longer apply in the same way

A short-term access decision may permanently limit future tax-efficient contributions.

COMING APRIL 2029: SALARY SACRIFICE NI CAP

Under legislation introduced in the 2025 Autumn Budget (National Insurance Contributions (Employer Pensions Contributions) Bill, published December 2025), from **6 April 2029**, salary-sacrificed pension contributions above **£2,000 per tax year** are due to lose their National Insurance exemption. The change applies to **salary sacrifice arrangements only**; direct employer pension contributions outside a salary sacrifice arrangement remain fully NIC-free.

The practical impact for an individual depends on the employer's current arrangement, specifically, whether NIC savings are passed through into the pension today, and how the employer chooses to handle future NIC on the excess. Where employers pass through savings, the individual may see a reduced gross pension contribution on the excess above £2,000 post-2029;

where employers absorb NIC themselves, the impact is different. Employee NIC on the excess is typically 2% (above the upper earnings threshold) or 8% (below it), while the separate employer NIC sits with the company. Rules may be amended before Royal Assent.

The planning implications are twofold: (i) for those with capacity, considering salary-sacrifice contributions during the pre-2029 window may be relevant, and (ii) post-2029, the relative efficiency of direct employer pension contributions vs. employee salary sacrifice, historically often equivalent, may diverge.

Key allowance thresholds: 2026/27

Allowance	Amount	Notes
Standard Annual Allowance	£60,000	Or earnings, whichever is lower
Threshold income	£200,000	Taper test begins above this
Adjusted income	£260,000	Taper engages above this
Minimum tapered allowance	£10,000	Reached at £360,000 adjusted income
Money Purchase Annual Allowance	£10,000	Once taxable DC income taken
Lump Sum & Death Benefit Allowance	£1,073,100	Replaces the former LTA



CHAPTER 06 · WHERE ASSETS LIVE

Investment Wrappers & *Advanced Structures*

06

An investment wrapper is not the investment itself. It is the legal and tax container that holds it. For additional rate taxpayers, the choice of wrapper often influences net outcomes as much as the choice of underlying investment. This chapter maps the principal structures, from everyday (ISA, GIA, Unit Trust) to advanced (VCT, EIS, trusts, FICs), and how each commonly features in a coordinated plan.

IN THIS CHAPTER

- Individual Savings Accounts (ISAs)
- General Investment Accounts, Unit Trusts & OEICs
- Investment bonds: onshore and offshore
- Venture Capital Trusts (VCTs)
- Enterprise Investment Scheme (EIS) & SEIS
- Trusts and Family Investment Companies (FICs)

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Individual Savings Accounts (ISAs)

ISAs remain one of the most flexible and tax-efficient wrappers available to UK investors. The annual subscription limit is **£20,000 for 2026/27**, unchanged. Unused allowance cannot be carried forward.

Types of ISA

- **Stocks & Shares ISA:** Holds investments (funds, shares, bonds). Growth and withdrawals are generally free from UK income tax and capital gains tax.
- **Cash ISA:** Interest-bearing cash deposits. Interest is tax-free.
- **Innovative Finance ISA (IFISA):** Holds peer-to-peer loans and certain debt securities. Tax-free interest, but higher risk profile.
- **Lifetime ISA (LISA):** Up to £4,000 per year (within the overall £20,000), with a 25% government bonus. Specific rules on age (18–39 to open, contributions to 50) and permitted uses (first home or retirement from 60).
- **Junior ISA (JISA):** For under-18s; £9,000 annual limit, separate from the adult allowance.

Why ISAs feature in additional rate planning

For a higher or additional rate taxpayer, the tax saving inside an ISA compounds meaningfully over time. Dividend income at 35.75% or 39.35% outside a wrapper becomes 0% inside. Capital gains above the £3,000 annual exempt amount, taxed at 18% or 24%, are fully sheltered.

WORKED EXAMPLE

The compounding difference

Two higher-rate taxpayers each invest £20,000 per year for 20 years into a portfolio returning 6% annually (assumed evenly split between growth and dividend).

- **Inside ISA:** approximately £780,000 at year 20, with no UK tax on gains or dividends.

- **Outside wrapper (simplified, assuming full use of allowances):** approximately £700,000 at year 20, after tax drag on dividends and occasional CGT on realised gains.

Over a 20-year horizon, the tax-efficiency gap commonly represents a material portion of end-portfolio value, without either investor changing the underlying investment.

General Investment Accounts, Unit Trusts & OEICs

A **General Investment Account (GIA)** is a taxable investment account, effectively "an investment portfolio without a wrapper". GIAs become relevant when ISA and pension allowances have been fully used, or when access is needed outside those wrappers' restrictions.

Unit Trusts and OEICs: what they are

Unit Trusts and Open-Ended Investment Companies (OEICs) are the most common collective investment vehicles held inside GIAs, ISAs and pensions. They are open-ended funds that pool investor money to hold a diversified portfolio of underlying assets, typically equities, bonds, or both.

- **Unit Trusts:** Structured as trusts. Investors buy "units" at a daily-priced net asset value.
- **OEICs (Open-Ended Investment Companies):** Structured as companies rather than trusts, holding "shares" in the fund. Functionally very similar to unit trusts for the investor.
- Both can be **income units** (distribute income) or **accumulation units** (reinvest income within the fund).

The wrapper in which a unit trust or OEIC is held (ISA, pension or GIA) determines the tax treatment. The fund itself is simply the investment.

Tax treatment of a GIA

- **Dividends:** Taxable at 10.75% / 35.75% / 39.35% above the £500 dividend allowance.

- **Interest (on bond funds):** Taxable as savings income at 20% / 40% / 45% (24% / 44% / 49% from 6 April 2027) above the personal savings allowance (£1,000 basic rate, £500 higher rate, £0 additional rate).
- **Capital gains:** Taxable at 18% (basic rate) or 24% (higher/additional) on gains above the £3,000 annual exempt amount.
- **Accumulation units:** Income "accumulated" within the fund is still taxable in the year it arises, even though it is not paid out. This creates a subtle reporting requirement often overlooked by self-assessment filers.

CGT HARVESTING

One of the most commonly used planning techniques in GIAs is "CGT harvesting", realising gains up to the £3,000 annual exempt amount each year to progressively reset the cost basis of holdings. Over 10 years, a disciplined harvesting strategy can realise £30,000 of gains tax-free and reset the cost base. Rules around "bed and breakfasting" and the 30-day share matching rule apply: disposal and re-acquisition of the same security within 30 days must be structured appropriately to avoid unwinding the gain.

Investment bonds: onshore and offshore

An investment bond is a life assurance wrapper that holds investments. It operates under a "chargeable event" tax regime, distinct from the year-on-year taxation of GIAs, and is often considered for estate planning, tax deferral, or where ISA and pension allowances have been fully used.

Onshore bonds

- Held with UK life companies
- Tax is paid within the fund (treated as having suffered basic-rate tax internally)
- On a chargeable event, a top-slicing relief calculation applies
- Up to 5% of the original investment per year can be withdrawn without immediate tax liability for up to 20 years (cumulative)

Offshore bonds

- Held with life companies in jurisdictions such as the Isle of Man or Dublin
- No UK tax within the fund, known as “gross roll-up”
- All tax is deferred until a chargeable event (surrender, death, or partial encashment above the 5% allowance)
- Tax is then paid at the holder’s marginal rate on the full gain, with top-slicing relief available

Where bonds feature

Common considerations where bonds may play a role:

- An individual expects to be a lower-rate taxpayer in retirement (paying tax later at a lower rate)
- Investments are intended to be held in trust for IHT planning; bonds are often used in conjunction with discounted gift trusts and loan trusts
- ISA and pension allowances are fully used and a tax-deferred structure is preferred to a GIA
- A large lump sum (e.g. inheritance or business sale proceeds) requires a tax-efficient deployment

Bonds are more complex than ISAs or GIAs. Chargeable event calculations, top-slicing relief, and the interaction with other income sources mean that the suitability of a bond, and the timing of any chargeable event, is rarely straightforward.

Venture Capital Trusts (VCTs)

VCTs are listed investment companies that invest in small, early-stage UK businesses. They carry a specific tax incentive package, designed to compensate for the risk of investing in smaller companies.

Feature	Detail (2026/27)
Upfront income tax relief	**20%** on new subscriptions (reduced from 30%)
Annual subscription limit	£200,000

Feature	Detail (2026/27)
Minimum holding period	5 years (relief clawed back if sold earlier)
Dividends	Tax-free
Capital gains on sale	Tax-free

A £50,000 VCT investment provides up to £10,000 of upfront income tax relief (if the investor's income tax liability supports it), then provides tax-free dividends and a tax-free capital gain on eventual sale, provided the 5-year holding period is met and VCT qualifying conditions are maintained.

VCTs are higher-risk than mainstream investments. The underlying companies are small and early-stage. The tax reliefs exist precisely because the investment itself carries substantially more risk than a diversified FTSE or global equity fund. They are typically considered only where the core plan (pension, ISA, GIA) is already in place, and where the investor has the capacity and appetite to accept the additional risk.

Enterprise Investment Scheme (EIS) & SEIS

EIS provides tax relief on direct investment into qualifying small UK companies. The tax incentive package is richer than VCT, reflecting the higher risk of investing in individual companies rather than a diversified VCT vehicle.

EIS core features

- **30% upfront income tax relief** on up to £1 million per year (or £2 million if at least £1 million is invested in knowledge-intensive companies)
- **CGT deferral:** A capital gain made elsewhere can be deferred by investing the gain into an EIS-qualifying company within the qualifying window (one year before to three years after). The deferred gain becomes chargeable when the EIS shares are sold.
- **CGT-free disposal:** Gains on EIS shares are free from CGT after 3 years, provided the qualifying conditions are maintained.
- **Loss relief:** If the investment loses value, loss relief can be claimed against income tax (at the investor's marginal rate) or CGT, which limits the downside.

- **IHT relief:** EIS shares typically qualify for 100% Business Relief. From April 2026, this relief is subject to the £2.5m cap discussed in Chapter 14.

SEIS: for the earliest-stage companies

The Seed Enterprise Investment Scheme (SEIS) is a variant for very early-stage companies. It provides 50% upfront income tax relief on up to £200,000 per year, with similar CGT and IHT benefits. SEIS-qualifying companies are typically newer and smaller than EIS-qualifying companies, so the risk profile is correspondingly higher.

> **RISK AND SUITABILITY**
>
> EIS, SEIS and VCT are **high-risk** investments. They are not suitable for all investors. The tax reliefs are generous because they compensate for the elevated risk of capital loss, illiquidity, and company-specific failure. HMRC approval of a scheme's qualifying status is not an endorsement of investment quality. These structures typically sit at the edge of a coordinated plan, considered where a core foundation of pension, ISA and diversified investment is already in place, and where the investor specifically wishes to combine additional risk appetite with meaningful tax relief.

Trusts and Family Investment Companies (FICs)

For families at higher wealth levels, or for specific inter-generational planning objectives, trusts and Family Investment Companies are structures that become relevant.

Trust structures in summary

Chapter 14 covers trust types (bare, discretionary, interest-in-possession). From an investment perspective, trusts are typically used where:

- Assets are being passed to minor children or grandchildren over time
- A donor wishes to separate control of assets from beneficial ownership
- An IHT strategy involves removing assets from the estate while retaining some influence over how they are distributed
- Specific structures (discounted gift trusts, loan trusts) are used alongside investment bonds

Family Investment Companies (FICs)

An FIC is a private limited company used as a long-term investment vehicle for family wealth. The founders typically hold voting shares; family members hold non-voting shares in different classes. Investments are made through the FIC, and its corporate tax treatment (corporation tax on income and gains, typically 25% at the main rate, with specific treatment of dividend income) applies.

FICs have grown in use following the abolition of the pensions lifetime allowance and as an alternative to trust structures. Common advantages include:

- Corporation tax rates on investment income can, in some circumstances, be lower than personal marginal rates
- Dividends between UK companies are generally exempt from corporation tax, so investment income can compound efficiently at the company level
- Value can be passed down through share classes with specific rights, preserving founder control
- Can avoid some of the relevant property regime tax charges that apply to discretionary trusts

FICs also involve complexity: filing obligations, accounting requirements, shareholder loan mechanics, and specific anti-avoidance rules around remuneration and dividends. They are typically considered at significant wealth levels (often £1m+ of investable capital) where the cost of administration is justified by the structural benefit.

> **WHERE THIS CHAPTER SITS**
>
> The structures in this chapter range from mainstream (ISA, GIA, unit trusts, OEICs) to specialised (VCT, EIS, trusts, FICs). None is inherently "better" than another. Each exists for different purposes, risk profiles, and circumstances. A coordinated plan typically combines multiple wrappers, used together, sequenced over time, and adjusted as circumstances and legislation change.

As dividend, CGT and savings allowances have reduced, wrapper positioning matters more than it did a decade ago. Two investors can hold identical portfolios, yet have different net outcomes, purely due to asset location.

Dividend income example

Assume £300,000 invested in dividend-paying equities at 4% yield. Annual dividends = £12,000.

- **Inside ISA:** £0 tax. Full £12,000 retained.
- **Outside wrapper (higher-rate taxpayer):** dividend tax payable at 35.75% above the £500 allowance = approximately £4,110 tax. Effective net income reduced to £7,890.

Over 10 years, the compounding difference becomes meaningful. Tax-free compounding significantly exceeds taxable compounding at the same gross return.

Growth assets and CGT

Growth-oriented investments may be more tax-efficient in taxable accounts, depending on usage of the CGT allowance and harvesting strategy. Capital gains are taxed only when realised. But the CGT allowance is just £3,000 in 2026/27 (down from £12,300 in 2022/23). Asset location strategy requires coordination.

Blended location example

Couple with £900,000 DC pension, £250,000 ISA, £150,000 taxable portfolio. Strategic positioning may include:

- Income-heavy assets inside pension/ISA
- Growth assets in taxable account (CGT managed through harvesting)
- ISA used for flexible withdrawals
- Pension preserved for longer-term compounding (bearing in mind Chapter 14's note on pensions entering IHT scope from April 2027)

Without coordination, tax drag increases annually. With coordination, it is managed more deliberately.



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CHAPTER 07 · HOW RETIREMENT INCOME IS TAXED

Income Layering & *Tax Compression*

Retirement income does not arrive as one figure. It arrives in layers, each stacking on the last, and the order in which those layers fill the tax bands decides how much of the total survives. The £100,000 threshold does not disappear at retirement; for some households it arrives for the first time.

IN THIS CHAPTER

- The compression effect
- The £100,000 threshold re-appears

Retirement income is not taxed in isolation. It is cumulative. In a single tax year, taxable income may include: State Pension, Defined Benefit income, Defined Contribution withdrawals, rental income, dividends, and interest.

Each source has its own mechanics. But HMRC totals them.

The compression effect

Compression occurs when fixed income consumes lower tax bands before flexible income is added.

- **Fixed income** typically includes: State Pension, Defined Benefit pension.
- **Flexible income** typically includes: DC drawdown, dividends, rental income.

Flexible income sits on top of fixed income. Choices about DC withdrawals, in particular, are made in the context of the fixed income already consuming lower bands.

WORKED EXAMPLE

Compression in practice: David, age 67

David receives:

- £35,000 DB pension
- £12,547 State Pension (2026/27 full new State Pension)
- £20,000 DC drawdown

Total taxable income = £67,547.

Using 2026/27 bands:

- Personal Allowance: £12,570
- Basic Rate (20%) up to £50,270
- Higher Rate (40%) above £50,270

Baseline taxable income after allowance: £67,547 − £12,570 = **£54,977**

That means:

- £37,700 taxed at 20%
- £17,277 taxed at 40%

If David increases his DC withdrawals by £15,000, his total income becomes £82,547. Taxable after allowance = £69,977, pushing a greater portion into the 40% band. He has not changed the tax system. He has changed the layering.

The £100,000 threshold re-appears

The 60% effective rate discussed in Chapter 1 is not confined to working-age earners. Retirement income can cross £100,000 where:

- DB income is substantial
- DC withdrawals are large
- Rental income continues
- Dividend income remains high

It is not only an “employment income” issue.



A household planning horizon runs to the longer of two lives, not the average of one.

CHAPTER 08 · THE HORIZON

Longevity, Inflation *& the Horizon* 08

The most under-estimated figure in a long-term plan is not a tax rate. It is a lifespan. Most people plan against an intuition about how long they will live, and that intuition commonly runs short by around a decade.

IN THIS CHAPTER

— What the life tables show

— Inflation and purchasing power

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What the life tables show

If you are now...	On average you live to	If you are now...	On average you live to
55	83	71	86
60	84	75	87
65	85	80	89
68	85	85	91
70	86	90	94

Source: UK Office for National Statistics life tables, rounded to the nearest year.

The figures rise with age, which is not an error in the table. They are conditional averages. Someone who has already reached 90 has passed through every mortality risk of the preceding decades, so the average age reached by that group is higher than the average for 55-year-olds as a whole.

Two features of the table matter more than the numbers themselves. The first is that these are averages, which means approximately half of each group lives longer. Planning to the figure opposite your own age therefore carries close to an even chance that the money is required for longer than the plan assumes.

The second is that a household horizon is not an individual horizon. It runs to the longer of two lives, and a younger or healthier spouse can extend the funding requirement by several years. The position at first death, and what it does to income and allowances, is covered in Chapter 14.

THE PRACTICAL IMPLICATION

Retirement at 60 commonly means funding a period of 25 to 35 years. At the additional rate, that horizon interacts directly with the decisions in Chapters 5 and 6. Contributions made at an effective 60% relief have decades in which to

compound, and wrapper placement is not a single decision but one that repeats its effect annually across the whole period.

Inflation and purchasing power

Inflation reduces purchasing power gradually, and it does not appear on any statement. UK inflation has averaged a little over 4% a year across the last century. At that rate, a household requiring £50,000 today would require approximately £115,000 in 20 years and £175,000 in 30, simply to maintain the same standard of living.

The effect on uninvested capital is more pronounced. £500,000 held in cash for thirty years would retain the purchasing power of roughly £140,000 in today's terms. Even at a contained 2%, costs rise by around 22% over a decade.

Recent history is a reasonable reminder that inflation does not reliably stay within a narrow band. Between 1973 and 1981 it averaged around 15%, and in 2022 it exceeded 10%.

Two further considerations commonly apply at higher income levels. Personal inflation rates often run above the headline figure, because categories such as care, private treatment, travel and insurance have historically risen faster than the general basket. And a small annual difference, barely noticeable in any single month, becomes substantial across a thirty-year horizon.

WHY "PLAYING IT SAFE" REQUIRES DEFINITION

A portfolio held entirely in cash or near-cash does not remove risk from a long-horizon plan. It exchanges visible short-term volatility for a slower and more predictable erosion of purchasing power. The first is uncomfortable and, historically, has been recoverable. The second is comfortable, and over a thirty-year period it is not.

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CHAPTER 09 · THE WINDOW

The Early-Retirement *Window*

The years between the day work stops and the day the State Pension starts have a particular characteristic: tax bands sit partly empty, and unused band cannot be reclaimed later. It is a narrow window, and access ages are moving.

IN THIS CHAPTER

- Why this period is structurally different
- Inflation: the silent multiplier

The years between access age and State Pension age. Band headroom that cannot be reclaimed later.



For many people, this is the most underused planning window in retirement.

Between pension access age (currently 55, rising to 57 in 2028) and State Pension age (typically 66–67), something unusual happens:

- Employment income may stop
- Defined Benefit income may or may not have started
- State Pension has not yet begun
- Baseline taxable income is often lower
- You control the majority of additional income

That flexibility does not last forever.

Why this period is structurally different

Before State Pension begins: personal allowance may not be fully used, basic-rate band headroom may be available, DC withdrawals are discretionary.

After State Pension begins: allowance space is partially consumed automatically, tax bands compress, flexibility narrows.

The question becomes: should income be taken gradually while tax bands are wider, or deferred until later when they may be compressed?

WORKED EXAMPLE

Two strategies compared: Andrew, age 60

Andrew's position:

- £30,000 Defined Benefit pension
- £600,000 Defined Contribution pension
- £200,000 ISA
- Requires £50,000 gross annual income
- State Pension from 67

Strategy A: Defer DC Withdrawals Until 67

From age 60–66: £30,000 DB income + £20,000 ISA withdrawals, no DC withdrawals. Taxable income = £30,000 per year.

At 67, State Pension begins (~£12,547). Baseline taxable income becomes £42,547 before DC withdrawals. To maintain £50,000 income, Andrew needs about £7,450 more. This additional income now stacks on top of £42,547, pushing more into higher-rate territory than it would have before age 67.

Strategy B: Structured DC Drawdown Before 67

From age 60–66: £30,000 DB + £10,000 DC + £10,000 ISA. Taxable income = £40,000.

He uses more of his basic-rate band while it is available. His DC pot reduces gradually but tax bands are less compressed at 67.

The result: total lifetime tax paid may be smoother across years rather than concentrated in later compressed years.

Inflation: the silent multiplier

If Andrew requires £50,000 today, at 3% inflation that becomes approximately £67,000 in 10 years, and £90,000 in 20 years. Early sequencing decisions shape later pressure. The financial impact of sequencing is rarely visible in year one. It becomes visible in years ten, fifteen and twenty, when flexibility has narrowed and options are fewer.



CHAPTER 10 · MAKING IT LAST

Withdrawals That *Survive 30 Years*

10

A portfolio that supports withdrawals for three decades behaves differently from one that simply grows. Sequencing, volatility and the order of returns matter as much as the average, and the withdrawal rate decides more than the asset mix.

IN THIS CHAPTER

- Allocation vs location: two different decisions
- The withdrawal rate reality
- Sequencing risk
- Liquidity buffer strategy
- Inflation: the silent multiplier

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Accumulation and retirement are different phases.

During accumulation: volatility is uncomfortable but often recoverable. Contributions continue. Time is on your side.

During retirement: withdrawals are ongoing. Market declines interact with cash flow. Time is no longer neutral. The structure must change.

Allocation vs location: two different decisions

Before modelling resilience, separate two concepts:

- **Asset allocation** = what you invest in (equities, bonds, cash, alternatives). Determines risk exposure.
- **Asset location** = where those assets are held (pension, ISA, GIA, bond). Determines tax efficiency and flexibility.

Both matter in retirement.

The withdrawal rate reality

Sustainability is heavily influenced by withdrawal rate. Beginning retirement with £800,000, withdrawing 3% (£24,000) behaves very differently from withdrawing 5% (£40,000), even if long-term returns average 5%. The order of returns matters.

Sequencing risk

Sequencing risk is not about poor long-term returns. It is about poor early returns combined with withdrawals. Two retirees can experience identical average returns over 20 years, yet one runs out of capital and the other does not, purely because early years differ.

Liquidity buffer strategy

One common resilience approach: maintain 12–24 months of withdrawals in lower-volatility assets (cash or short-duration bonds). In downturn years, withdraw from the buffer, allowing equities time to recover. This does not eliminate risk. It reduces forced selling.

Inflation: the silent multiplier

At 3% inflation, £40,000 of income today becomes approximately £53,700 in 10 years and £72,000 in 20 years. If withdrawals remain static while inflation rises, real purchasing power falls. If withdrawals rise with inflation, pressure on the portfolio increases. Balance requires modelling.



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CHAPTER 11 · PUTTING IT IN ORDER

The Multi-Vehicle *Drawdown Playbook*

Retirement income drawn from one place is taxed one way. The same income drawn across several vehicles can be taxed very differently, because each wrapper carries its own treatment. This chapter sets out the order, and what the order is worth.

IN THIS CHAPTER

- Phase 0 · The building decade
- The layering logic
- The three phases
- Total return versus income investing

Sequencing is one of the few retirement decisions that can be modelled precisely in advance.

Before discussing tax efficiency, sequencing, sustainability or legacy, one question must be answered: do you fully understand the structure of your retirement system?

Most people believe they do. Many discover they do not.

Establishing the inventory

A single-page retirement snapshot typically includes the following components.

1. Every pension arrangement

For each pension: provider, current value, Defined Benefit (DB) or Defined Contribution (DC), normal retirement age, earliest access age, current contribution level, investment approach (growth / balanced / cautious), charges (platform + fund where visible), and when beneficiary nominations were last reviewed.

Why the DB/DC distinction matters

A Defined Benefit pension behaves like income. A Defined Contribution pension behaves like capital.

- **A DB scheme** pays fixed taxable income, is often inflation-linked (sometimes capped), and compresses tax bands immediately.
- **A DC scheme** offers flexible withdrawals, allows a 25% tax-free lump sum (subject to the Lump Sum Allowance, £268,275), and can be sequenced strategically.

Confusing the two leads to poor planning.

2. State Pension position

State Pension forecast, National Insurance record gaps, and State Pension age. The State Pension is taxable and consumes personal allowance space.

2026/27 FIGURE

The full new State Pension is **£241.30 per week** (approximately **£12,547.60 per year**) from 6 April 2026, rising from £11,973 (£230.25 a week) in 2025/26 under the triple-lock uplift. The personal allowance is £12,570. The State Pension alone consumes nearly all of the tax-free personal allowance. This matters later.

Note: The full new State Pension figure assumes a full National Insurance record (typically 35 qualifying years). Individual entitlement may be lower depending on

contribution history. Check your personal forecast at gov.uk/check-state-pension.

3. ISA and taxable assets

List separately: Stocks & Shares ISA, Cash ISA, General Investment Accounts, dividend yield estimate, bond exposure, and cash holdings. ISAs are tax-free on withdrawal. Taxable accounts are not. Wrapper positioning influences annual tax drag.

4. Other income

Rental income, dividends from business ownership, consultancy income, annuities, trust income. All taxable income stacks cumulatively in a tax year.

WORKED EXAMPLE

Worked example: "looks simple" but isn't

Sarah, 58, believes she has "one pension" and "some savings".

On review, she actually has:

- 4 historic workplace pensions (total £410,000)
- 1 active workplace pension (£140,000)
- 1 SIPP (£220,000)
- A defined benefit entitlement paying £18,000 from age 65
- ISAs worth £160,000
- Cash savings of £45,000
- Full State Pension from 67

Before planning income, Sarah must answer:

- Are the 4 historic pensions invested similarly?
- Do they overlap in asset allocation?
- What are the combined charges?
- Is her DB pension inflation-linked and capped?
- Are beneficiary nominations current?
- Does she know her earliest access options?

Nothing here is “wrong”. But without visibility, sequencing decisions become guesses.

Phase 0 · The building decade

The drawdown order only exists if the wrappers were filled in the first place. In the final ten to fifteen working years, most households face the same recurring question: where should the next spare pound go? The honest answer depends on your tax band, your bridge needs and your horizon, but the logic runs in a recognisable sequence.

Priority	Where the next pound commonly goes	Why it earns its slot
1	Workplace pension, at least to the full employer match	Matched contributions are an immediate uplift no other vehicle offers
2	Further pension funding (sacrifice or SIPP), sized to your marginal rate	Relief at 40–45% for higher earners, and effectively around 60% on income inside the £100,000–£125,140 taper; the 2029 sacrifice cap makes the pre-2029 window relevant for heavy funders
3	Stocks & shares ISA, up to £20,000 each	No relief going in, but tax-free forever coming out, and it is the bridge asset for retiring before pension access age
4	Partner’s allowances: their pension, their ISA	Two of everything. A couple that fills both sets of wrappers retires with double the tax-free capacity of one that fills only the higher earner’s
5	GIA, harvested annually within the £3,000 CGT exemption	The overflow reservoir once wrappers are full, kept efficient by disciplined gain-harvesting
6	Investment bond, onshore or offshore	For large surpluses and lump sums: tax-deferred growth, the 5% withdrawal allowance, and a natural pairing with later estate planning

The sequence bends with circumstances, and that is the point. A 52-year-old planning to stop at 55 needs a heavier ISA and GIA weighting than the pension-first default, because pensions are locked until 57 from 2028. A director controls the salary, dividend and employer-contribution mix and can fund priority 2 from the

company. Someone brushing the annual-allowance taper (Chapter 5) may find priorities 3 to 6 doing work the pension no longer can. The households that arrive at retirement with a genuine multi-vehicle drawdown available are, almost without exception, the ones that built this way for a decade beforehand. Blend on the way in, and you earn the right to blend on the way out.

WORKED EXAMPLE

A worked example: ten years from retirement

A couple, 55 and 53, with £45,000 a year of genuine surplus. He earns £110,000; she earns £42,000. One reasonable educational shape: he sacrifices £22,000 into his pension, clearing the £100,000 taper and collecting relief at an effective rate near 60% on the tapered slice; she contributes £8,000 to hers with basic-rate relief; the remaining £15,000 splits between her ISA (prioritised, since she will retire first and bridge two years to pension access) and his. Ten years of that pattern, at the Chapter 6 growth assumptions, arrives at retirement with six separately taxed pots and the full playbook below available. The same £450,000 saved into a single pension would arrive with one pot, one tax treatment, and far fewer moves.

The layering logic

Four properties decide each vehicle's slot: *is the withdrawal taxable? is it flexible? does the tax point move? and what does it leave in the estate?* ISAs come out tax-free. GIAs come out mostly tax-free within managed allowances. Pensions come out 25% tax-free, then taxable, and now carry the 2027 estate question. Investment bonds defer the tax point to a year of your choosing. Line those properties up against the fixed layers from Chapter 7 and a natural order emerges.

WORKED EXAMPLE

A worked example: £50,000 drawn across four vehicles

A single retiree, before state pension age, needs £50,000. One way the vehicles can combine under 2026/27 rules:

Source	Amount	Tax treatment
ISA withdrawals	£20,000	Tax-free, never counts as income
Pension drawdown	£12,570	Covered by the personal allowance
GIA sales	£3,000	Within the CGT annual exempt amount
Cash interest	£1,000	Within the personal savings allowance
Offshore bond withdrawal	£13,430	Within the 5% allowance, tax deferred, not exempt
Total	**£50,000**	**£0 income tax payable this year**

Drawing the same £50,000 entirely from a pension instead produces **£7,486 of tax**, every single year. The multi-vehicle version is not magic: the bond's tax is deferred rather than cancelled, the ISA and CGT capacity are finite, and sustaining the pattern takes years of prior wrapper-filling. But it shows the size of the lever, and why the mix is built long before retirement. A couple doubles most of these allowances.

The three phases

Phase 1: early retirement (to state pension age). Fixed taxable income is at its lowest, so this is the phase for tax-free and tax-efficient sources: ISA withdrawals as the backbone, GIA gains harvested within exempt amounts, cash interest inside savings allowances, tax-free pension cash deployed strategically (clearing debt, funding one-offs), and bond 5% withdrawals where held, while pension drawdown is either deferred or, per Chapter 9, deliberately sized to fill the allowance and basic band. The pension keeps compounding; taxable income stays controlled.

Phase 2: mid-retirement (state pension in payment). The state pension now consumes the allowance automatically. The pattern shifts: taxable pension withdrawals are introduced in *measured* amounts, enough to spread the pot's tax over many years, never enough to breach the higher-rate threshold, while ISAs and

remaining GIA capacity top up spending without adding taxable income. This is where the Chapter 7 layering discipline earns its keep annually.

Phase 3: later retirement. ISAs and GIAs have carried the early load, so pensions naturally carry more, withdrawals still steered under the higher-rate line, ISA remnants reserved for exactly that steering. Where investment bonds are held, encashment often lands here, in years when other income (and therefore the marginal rate on the gain) is lowest. And from 2027, phase 3 has a second objective running alongside income: managing what the pension will be worth *to the estate*, the calculus Chapter 14 prices in full.

Three ways to take pension money

Even within the pension itself there are three drawdown shapes, and most people only ever hear about the first. **Tax-free cash first:** crystallise the pot, take up to 25% as one lump sum, draw taxable income from the rest thereafter. Simple, and popular, but it lands the entire tax-free entitlement in one year whether or not it is needed. **Phased drawdown:** crystallise the pot in slices over many years, releasing a small piece of tax-free cash alongside each piece of taxable income. This is the shape behind the Phase 2 pattern above, spreading both the tax-free element and the taxable income across the bands of a whole retirement. **UFPLS:** take uncrystallised lump sums where each withdrawal is automatically 25% tax-free and 75% taxable, with no separate crystallisation step. Each shape produces a different taxable-income profile, a different MPAA position and, from 2027, a different estate trajectory. One practical footnote for all three: providers commonly apply an emergency tax code to a first taxable withdrawal, over-deducting tax that must then be reclaimed from HMRC, another reason the first withdrawal deserves planning rather than improvisation. Which shape fits is a regulated, personal question, and one worth asking before the money moves.

Total return versus income investing

	Income investing	Total-return investing
Typical mix	Concentrated in high-dividend shares and bonds	Diversified growth assets plus deliberate withdrawals
Cash flow	Whatever the yield delivers, even when it exceeds need	Chosen each year, from whichever source suits
Tax character	Taxable income arrives regardless	Gains realised when and where the tax position suits
Risks	Concentration; dividend cuts; yield-chasing	Requires discipline and a selling framework

Rising dividend and savings taxes have tilted this comparison decisively: locked-in taxable income has become more expensive exactly as flexible, gain-based cash flow has become relatively cheaper. The flexibility to decide *where this year's income comes from* is now one of the most valuable levers in retirement planning, and it only exists if the vehicles were filled, located and sequenced deliberately.



CHAPTER 12 · THE DIAGNOSTIC

12

Eleven Costly Planning Mistakes *Additional-Rate Taxpayers Make*

Everything in this chapter is explained in full somewhere else in the guide. Nothing here is new. What is different is the angle: instead of working through a subject, each page starts from something intelligent people genuinely believe, and looks at where that belief stops holding once income crosses £125,140.

IN THIS CHAPTER

- Not planning for the full impact of the 60% effective tax rate
- Not planning for your highest-income years
- Assuming you have a savings allowance
- Relying solely on workplace protection
- Planning to fund your pension "later"
- Holding the right investments in the wrong wrappers
- Leaving investment gains unmanaged
- Taking retirement income from one place
- Assuming old pensions are looking after themselves
- Leaving inheritance planning until it's needed
- Assuming pensions always pass tax-efficiently

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> *Most of these are not errors of understanding. They are beliefs that were correct at a lower income and quietly stopped being correct on the way up.*

Each of the eleven follows the same shape. The mistake, in plain terms. A belief that sits behind it. What the position actually is. Then a route into the chapter that covers it properly. Read it as a checklist rather than an argument: the useful question on each page is not whether the point is valid, but whether it applies to you.

HOW TO READ THIS CHAPTER

These are general observations about how the rules operate at the additional rate. They are not statements about your position, and nothing here is a recommendation to take or avoid any course of action. Circumstances differ considerably, and the chapters linked from each page set out the detail and the exceptions.

01 Not planning for the full impact of the 60% effective tax rate

60% · BETWEEN £100,000 AND £125,140

"My pension contributions get 45% relief."

On most of your income above £125,140, they do. But the slice of a contribution that carries income from £125,140 back down toward £100,000 behaves differently, because it does two things at once: it saves tax at 40%, and it restores personal allowance that had been withdrawn.

The combined effect on that slice is relief of roughly 60%. It is the same arithmetic as the 60% band, running in reverse, and it appears on no payslip and in no workplace pension tool.

Read the full chapter → **Chapter 1 · The 60% Tax Band**

02 Not planning for your highest-income years

£260,000 · ADJUSTED INCOME, WHERE THE ALLOWANCE STARTS TO TAPER

"It's just a really good year."

Bonus, share vest and dividend extraction are taxed in the year they land, not the years they were earned across. Stacked on baseline earnings, they can carry adjusted income past £260,000, at which point the annual allowance begins to fall by £1 for every £2.

The same year is often the one where three years of unused allowance were sitting available. Carry forward lapses on a rolling three-year basis whether or not it was used.

Read the full chapter → **Chapter 5 · Pension Funding & the Allowances**

03 Assuming you have a savings allowance

£0 · PERSONAL SAVINGS ALLOWANCE AT THE ADDITIONAL RATE

"The first £1,000 of interest is tax-free."

That is correct at the basic rate. At the higher rate it halves to £500. At the additional rate it is nil, and interest is taxable from the first pound.

The transition is abrupt rather than gradual. A higher-rate taxpayer who crosses £125,140 does not see the allowance reduce; they see it removed, and the £500 that was previously tax-free moves into the 45% band.

Read the full chapter → **Chapter 3 · Cash Reserves & Debt Management**

04 Relying solely on workplace protection

£1,073,100 · LUMP SUM AND DEATH BENEFIT ALLOWANCE

"I've got life cover through work."

Death-in-service is a benefit of employment, not a policy you own. It ends when the employment does, which tends to be the same period in life when a mortgage is largest and children are youngest.

It also counts toward the lump sum and death benefit allowance. A multiple-of-salary benefit at a high income can consume a meaningful part of it before pension death benefits are considered at all.

Read the full chapter → **Chapter 4 · Protection**

05 Planning to fund your pension "later"

£10,000 · WHERE THE ANNUAL ALLOWANCE FLOORS OUT

"I'll increase my contributions when I earn more."

The allowance moves in the opposite direction to the income that would fill it. At £260,000 of adjusted income it starts to taper, and by £360,000 it has reached its £10,000 floor.

Earning more is precisely the thing that removes the capacity. The result is that the years of highest earnings are often the years of lowest available allowance.

Read the full chapter → **Chapter 5 · Pension Funding & the Allowances**

06 Holding the right investments in the wrong wrappers

39.35% · DIVIDEND RATE AT THE ADDITIONAL RATE, AGAINST 0% INSIDE AN ISA

"I've focused on picking the right investments."

Two people can hold the same funds, take the same returns and pay very different amounts of tax, because the wrapper decides the treatment. Dividends taxed at 39.35% outside a wrapper are taxed at nothing inside one.

Asset location is not a one-off decision either. It pays every year, on every distribution, for as long as the assets are held.

Read the full chapter → **Chapter 6 · Investment Wrappers & Advanced Structures**

07 Leaving investment gains unmanaged

£3,000 · ANNUAL EXEMPT AMOUNT. IT DOES NOT CARRY FORWARD

"I haven't sold anything, so there's no tax."

Correct today. The gain is simply unrealised, and it accumulates. A position held for fifteen years without review can carry a gain far larger than any single year's exemption could accommodate.

The annual exempt amount works on a use-it-or-lose-it basis. Each tax year that passes without review is an exemption that expires unused.

Read the full chapter → **Chapter 6 · Investment Wrappers & Advanced Structures**

08 Taking retirement income from one place

£7,486 · INCOME TAX ON £50,000 DRAWN FROM A PENSION ALONE

"I'll just draw it from my pension."

A pension is one of several places retirement income can come from, and it is the one taxed most heavily as income. Drawing the same amount across a pension, an ISA, a general investment account, cash and an investment bond uses several different tax treatments at once.

The difference is not marginal. On £50,000 a year it is the difference between a five-figure tax bill over a few years and nothing at all.

Read the full chapter → **Chapter 11 · The Multi-Vehicle Drawdown Playbook**

09 Assuming old pensions are looking after themselves

£126,000 · ILLUSTRATIVE ONLY: CHARGE DIFFERENCE ON £400,000 OVER FIFTEEN YEARS

"They're just sitting there."

They are, and that is the point. A pension left untouched since a job change carries whatever charges, asset allocation, target retirement date and beneficiary nomination were set at the time.

The retirement date may be set to an age that no longer applies. The allocation may have drifted. The beneficiary nomination may predate 2027. None of that corrects itself.

Read the full chapter → **Chapter 13 · Bringing the Plan Together**

10 Leaving inheritance planning until it's needed

£2M · WHERE THE RESIDENCE NIL-RATE BAND BEGINS TO TAPER

"I'll sort inheritance tax later."

The residence nil-rate band reduces by £1 for every £2 of estate value above £2m. On a large enough estate it is gone entirely, and for a couple that is £350,000 of allowance.

Several of the structures relevant here operate over multi-year periods, which is a function of how the rules are written rather than a matter of preference.

Read the full chapter → **Chapter 14 · Estate, Inheritance Tax, Wills & LPAs**

11 Assuming pensions always pass tax-efficiently

6 APRIL 2027 · UNUSED PENSIONS COME WITHIN THE ESTATE

"Pensions sit outside my estate."

That was true, and it made pensions one of the most efficient assets to leave untouched. From 6 April 2027 unused pension funds come within the estate for inheritance tax.

Where inheritance tax applies and the beneficiary then draws the fund as taxable income, the two layers stack. In the worst combination the effective rate approaches 67%.

Read the full chapter → **Chapter 14 · Estate, Inheritance Tax, Wills & LPAs**

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CHAPTER 13 · WHAT JOINING IT UP IS WORTH

Bringing the *Plan Together*

Individual decisions can each be sound and still leave money on the table, because the gaps sit between them rather than inside any one. This chapter looks at what coordination is actually worth, in figures rather than assertion.

IN THIS CHAPTER

- 1 · Costs compound as reliably as returns
- 2 · Rebalancing has a measurable value
- 3 · Behaviour is often the largest variable
- 4 · Cash-flow modelling and fiscal drag
- 5 · Asset location, and why it repeats

None of the five gaps in this chapter requires brilliance. All five require someone to run the numbers each year.



1 · Costs compound as reliably as returns

Amount invested	Horizon	Gross return	Annual costs	End value
£1,000,000	20 years	10%	2.4%	£4,138,568
£1,000,000	20 years	10%	1.5%	£4,972,540

Identical portfolios, identical returns, £834,000 apart, from a 0.9% fee difference, compounded. Hypothetical illustration (fees assessed at each year end, no transaction costs, returns not guaranteed), but the mechanism is not hypothetical. The same arithmetic applies where charges sit across several pensions at once. On a £400,000 pot held in schemes averaging 1.39% in charges, the gap against a 0.35% alternative works out at roughly £126,000 over fifteen years at 6% gross. Whether moving a pension is appropriate is a separate question, and it turns on features a charge figure does not capture: guarantees, safeguarded benefits, protected tax-free cash and exit penalties among them. Those are matters for an FCA-regulated adviser to assess against the specific schemes involved.

2 · Rebalancing has a measurable value

WORKED EXAMPLE

A worked example: two investors, one market cycle

Both start with £500,000 at 60/40 (£300,000 equities, £200,000 bonds). A strong bull market lifts equities 50% and bonds 5%: both portfolios reach £660,000, but the mix has drifted to 68/32. Investor A rebalances back to 60/40 (£396,000 / £264,000); Investor B lets it ride (£450,000 / £210,000).

Then equities fall 30% while bonds gain 5%. Investor A finishes at **£554,400**; Investor B at **£535,500**. **£18,900 of difference from one act of discipline**, before counting that B now also holds a larger, more heavily-taxed income-producing equity book under the new dividend rates. Portfolios drift towards

whatever has performed most recently. Rebalancing is the standing correction to that drift, and it is commonly hardest to apply at the point it matters most.

3 · Behaviour is often the largest variable

The largest retirement losses commonly arise not from market falls themselves but from the decisions taken in response to them. Take a £500,000 balanced portfolio through a 30% fall to £350,000. The investor who sells into cash crystallises the loss permanently, and under current rules parks the proceeds where interest is taxed at raised rates inside shrinking cash-ISA capacity. The investor who stays, and rebalances at the lows, participates in the recovery: a 65% rebound rebuilds the portfolio to about **£577,500, a £227,500 gap in a single cycle**, produced entirely by behaviour. Every major crisis on record, 2001, 2008, 2020, was followed by substantial recovery; the pattern that damages retirements is selling too early, sitting in cash too long, then buying back too late. Repeated across the several cycles a 30-year retirement contains, the gap between disciplined and emotional compounds into seven figures. The most reliably documented value of ongoing advice is not product selection. It is having a counterparty with a plan at exactly the moments these decisions get made.

4 · Cash-flow modelling and fiscal drag

With thresholds frozen to 2031, a retiree whose withdrawals merely track inflation drifts upward through the bands while standing still in real terms. Model a £50,000 taxable pension income rising 3% a year for 20 years: against today's frozen bands it pays roughly **£85,000 more cumulative tax** than the identical income would if thresholds rose with inflation, tax created purely by the freeze, invisible in any single year, obvious across the plan. Cash-flow modelling exists to surface exactly this: how long the money lasts, when each band gets breached, and which sequencing choices (Chapters 5 and 9) blunt the drag. Small policy settings compound dramatically over a long retirement; modelling is how you see them coming.

5 · Asset location, and why it repeats

£300,000 of dividend equities yielding 4% produces £12,000 a year: inside an ISA, kept in full; outside, a higher-rate taxpayer loses over £4,100 of it, every year, at 35.75%. Bond interest outside wrappers now loses more at raised savings rates; growth assets tolerate a GIA best under harvested gains. One repositioning decision, correctly made, pays for itself annually for the rest of the plan, and the shrinking of allowances has raised the price of getting it wrong.

In summary

Costs, drift, behaviour, drag and location are five separate, compounding gaps. None requires brilliance; all require coordination, discipline and someone actually running the numbers each year. That, not stock-picking, is what professional planning is for. Weigh any fee against the size of the gaps it closes.



Estate planning is the point at which the arithmetic stops being only about you.

CHAPTER 14 · PASSING IT ON

Estate, Inheritance Tax, *Wills & LPAs*

14

Inheritance tax has quietly become a broader concern. Frozen nil-rate bands, rising asset values, and two legislative changes (pensions entering the IHT estate from April 2027 and a £2.5 million cap on Business Relief from April 2026) materially reshape the planning landscape for higher earners and their families.

IN THIS CHAPTER

- IHT fundamentals: 2026/27
- The April 2027 pension change
- The Business Relief £2.5m cap: April 2026
- Lifetime gifting: the core mechanics
- Whole-of-life assurance for IHT
- Wills & intestacy: the document that underpins everything else
- Lasting Powers of Attorney: planning for capacity, not just death

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IHT fundamentals: 2026/27

Inheritance tax is a tax on the estate of someone who has died, and in some cases on certain lifetime gifts. The standard rate is 40%, charged on the portion of the estate above available nil-rate bands.

Allowance	Amount	Notes
Nil-rate band (NRB)	£325,000	Per person; frozen until April 2031
Residence nil-rate band (RNRB)	£175,000	Available where a main residence is passed to direct descendants; tapers where estate exceeds £2m
Combined (per couple)	Up to £1,000,000	Unused allowances transferable between spouses/civil partners
Standard IHT rate	40%	On assets above available nil-rate bands
Reduced rate	36%	Where 10%+ of the net estate is left to charity

The residence nil-rate band tapers away by £1 for every £2 of estate value over £2,000,000, disappearing entirely at estates of £2.35m–£2.7m depending on available bands. For many higher earners with property values that have risen over decades, this taper has quietly removed an allowance they may have assumed was available.

FROZEN UNTIL 2031

At the 2025 Autumn Budget, the freeze on IHT thresholds was extended by a further year, to April 2031. With the NRB unchanged since 2009 and the RNRB unchanged since its full introduction in 2020/21, fiscal drag is a primary mechanism by which more estates are being pulled into IHT scope each year.

The April 2027 pension change

From **6 April 2027**, unused pension pots and lump-sum death benefits will fall within the deceased's estate for inheritance tax purposes for the first time in UK history. This change was announced in the Autumn 2024 Budget, confirmed after a technical consultation, and was legislated in the Finance Act 2026.

What's changing

- **Unused Defined Contribution pension funds** (SIPPs, personal pensions, workplace DC schemes, uncrystallised funds) will be included in the estate value for IHT.
- **Lump-sum death benefits** from DC pension schemes will also fall within scope.
- **Personal representatives** (executors) will become responsible for valuing pension wealth and paying any IHT due, alongside other estate assets.

What remains outside scope

- **Death-in-service benefits** from registered pension schemes (where the scheme provides death-in-service as a separate benefit) are excluded from the estate value for IHT.
- **Transfers to a spouse or civil partner** remain exempt under the general spousal exemption.
- **Transfers to a registered charity** remain exempt.
- **Income drawdown in payment at the time of death** and annuities purchased before death have specific treatments; detailed rules apply.

> *Pensions have historically been a tax-efficient estate planning tool, precisely because they sat outside the IHT estate. From 6 April 2027, that logic reverses for the unused portion.*

Why this matters more than its headline

Inherited pension wealth does not simply face one tax charge. It can face two, compounded.

- **IHT at 40%** on the amount above available nil-rate bands.
- **Income tax** on any subsequent drawdown of those funds by the beneficiary, at the beneficiary's marginal rate.

For an additional-rate beneficiary, the combined effective rate can reach approximately **67%** on pension wealth passed through an estate. For a higher-rate beneficiary, the effective combined rate is approximately 64%. In certain cases, this can materially change how pension wealth should be sequenced during retirement versus preserved for estate transfer.

> **PLANNING IMPLICATIONS**
>
> Common areas that advisers review in response to the April 2027 change include: reviewing beneficiary nominations, considering whether pension drawdown sequencing should change, reassessing "pension last" strategies that were based on pre-2027 rules, and reviewing the role of life assurance in trust to provide IHT liquidity on pension wealth passed on.

The Business Relief £2.5m cap: April 2026

Business Relief (often called Business Property Relief, BPR) has historically allowed qualifying business assets and qualifying AIM-listed shares to pass free of IHT after a minimum two-year holding period, at either 100% or 50% relief depending on the asset type.

From **6 April 2026**, this changed:

- **100% Business Relief and 100% Agricultural Relief** are now capped at a combined **£2.5 million of qualifying assets per person**.
- **Qualifying assets above this £2.5m cap** receive only 50% relief, bringing them into IHT scope at an effective 20% rate.
- **Qualifying AIM-listed shares** that previously qualified for 100% relief now receive 50% relief regardless of amount, effectively an unlimited 20% IHT treatment, rather than full exemption.

For business owners, AIM investors and farming families, this is a structurally significant change. A family business worth £10 million that previously expected to pass with no IHT now faces an IHT liability on £7.5 million of that value at an effective 20% rate, a potential £1.5 million charge where none previously existed.

COMMON PLANNING RESPONSES

For families affected by the cap, planning conversations often now include: the use of the £2.5m cap across spouses (two caps per couple where structuring allows), lifetime gifting strategies to reduce future estate value, reviewing AIM portfolio strategies given the removal of full BR on AIM shares, and considering life assurance written in trust to meet a predictable future IHT liability on business assets. Business Relief rules are technical and interact with gifting and trust rules in specific ways, so professional input is typically appropriate.

Lifetime gifting: the core mechanics

Lifetime gifting is one of the most widely-used estate planning mechanisms. The rules are deceptively simple in outline, and technical in application.

Potentially Exempt Transfers (PETs)

A gift to an individual becomes fully exempt from IHT if the donor survives for seven years after making it. Gifts made within seven years of death are added back into the estate for IHT calculation, with taper relief on the tax applicable after the first three years (not on the gift value itself).

Annual exemptions (use-it-or-lose-it)

- **Annual exemption:** £3,000 per donor per year. Unused allowance can be carried forward one year.
- **Small gifts:** £250 per recipient per year, to as many individuals as desired (not combinable with the annual exemption to the same person).
- **Wedding gifts:** Up to £5,000 from a parent, £2,500 from a grandparent, £1,000 from others.

- **Gifts to spouses/civil partners:** Generally unlimited, provided the receiving spouse is a long-term UK resident (a cap applies otherwise).
- **Gifts to registered charities:** Fully exempt.

Normal expenditure out of income

An often-under-used exemption: gifts made as part of normal expenditure out of income are immediately exempt from IHT, provided (i) the gifts are made from income (not capital), (ii) the gifts form part of a normal pattern of expenditure, and (iii) the donor retains enough income to maintain their usual standard of living.

For higher earners whose income exceeds lifestyle requirements, a common position after children become financially independent, this exemption can be structurally significant. A consistent monthly gift of £2,000 from surplus income, for example, gradually reduces the estate without using the seven-year PET clock and without touching the annual exemption.

Whole-of-life assurance for IHT

Where an IHT liability is anticipated, whole-of-life assurance written in trust is a common planning tool. The approach:

- A life policy is put in place that pays out on death, covering all or part of the expected IHT liability
- The policy is written in trust so that the payout sits outside the estate, and can be paid quickly to beneficiaries
- Beneficiaries use the policy proceeds to pay the IHT bill, freeing up estate assets without a forced sale

Whole-of-life premiums are typically higher than term assurance because the insurer is certain to pay out at some point. For very large anticipated liabilities, the cumulative cost over decades can be significant, which is why whole-of-life is rarely used in isolation. It tends to feature as one component within a broader strategy that includes gifting, trusts, and pension / investment positioning.

Trust structures: an overview

Trusts can play multiple roles in estate planning, each with different tax treatment and legal implications. Common types include:

- **Bare trusts:** Simpler structure, commonly used for minor children. Assets belong beneficially to the child, taxed on the child.
- **Discretionary trusts:** Trustees have discretion over how capital and income are distributed. Relevant property regime applies, 10-year anniversary charges and exit charges.
- **Interest-in-possession trusts:** A beneficiary has an immediate right to income. Specific tax treatment varies depending on when and how the trust was created.
- **Loan trusts and discounted gift trusts:** Specific structures used to reduce estate value while retaining some access to capital or income.

Trust planning is technical and highly dependent on individual circumstances. The complexity of setting up a trust, and the ongoing administrative, tax and legal obligations, means trusts are typically considered alongside professional advice rather than in isolation.

Wills & intestacy: the document that underpins everything else

A Will is the single most foundational estate document. Without a valid Will, the intestacy rules decide how an estate is distributed, and those rules frequently do not match what the deceased would have chosen, particularly for higher-net-worth estates or non-traditional family structures.

What intestacy does

Under current intestacy rules in England & Wales, if someone dies without a valid Will:

- A surviving spouse receives the first £322,000 (the “statutory legacy” as of 26 July 2023) plus personal chattels and half of the remainder
- Children receive the other half of the remainder (held on statutory trusts for children under 18)

- Unmarried partners, regardless of years together, receive **nothing** under intestacy
- Stepchildren receive nothing unless formally adopted
- Scotland and Northern Ireland have separate, distinct intestacy rules

For additional rate households, the statutory legacy is often a small fraction of the total estate. The default split between spouse and children can create unexpected outcomes, for example, forcing a surviving spouse to share ownership of the family home with adult children from a previous marriage.

What a well-drafted Will provides

- **Precise asset distribution:** chosen beneficiaries, specified shares, legacies to charity
- **Executor appointment:** chosen individuals (or a professional firm) to administer the estate
- **Guardianship for minor children:** nominated legal guardians if both parents die
- **Trust provisions:** where appropriate, directing assets into trusts for minors, vulnerable beneficiaries, or to preserve the RNRB
- **Charitable gifts:** structured to access the reduced 36% IHT rate where 10%+ of the net estate is left to charity
- **Letter of wishes:** accompanying the Will, guiding executors and trustees without being legally binding

Mirror wills vs trust wills for couples

Married couples at additional rate wealth levels commonly consider two patterns:

- **Mirror wills:** each spouse leaves everything to the other, then to children. Simple, but offers limited protection against later remarriage, bankruptcy of the surviving spouse, or care cost erosion.
- **Wills incorporating trusts:** assets pass into a trust on first death, giving the surviving spouse access but preserving the underlying capital for the intended beneficiaries. Common uses include property protection trusts, life interest trusts, and nil-rate band discretionary trusts.

When Wills need updating

A Will should typically be reviewed on material life events: marriage (which automatically revokes a Will in England & Wales unless specifically made in

contemplation of the marriage), divorce, the birth of children or grandchildren, significant asset changes (business sale, inheritance received, property purchase), the death of a named executor or beneficiary, or changes in tax law that materially affect estate structure.

Lasting Powers of Attorney: planning for capacity, not just death

A Lasting Power of Attorney (LPA) allows a trusted person (an "attorney") to make decisions on behalf of the person granting the LPA (the "donor") if the donor loses mental capacity. LPAs complement Wills. Wills govern what happens after death; LPAs govern what happens if capacity is lost during life.

Two types of LPA

- **Property & Financial Affairs LPA:** covers bank accounts, investments, property, tax, bills, and general financial management. Can be used with the donor's consent while they have capacity, or automatically once capacity is lost.
- **Health & Welfare LPA:** covers medical treatment decisions, care arrangements, where the donor lives, and (if specifically granted) life-sustaining treatment decisions. Can only be used once capacity is lost.

The two are separate documents. Most financial advisers recommend putting both in place simultaneously.

Why LPAs matter at additional rate levels

Higher-net-worth households typically have:

- Multiple bank accounts, investment accounts, and pensions, each of which may freeze access on capacity loss
- Joint accounts that can be blocked if one holder loses capacity (common misconception: a spouse cannot automatically operate joint accounts alone if the other has lost capacity)
- Self-employed / business interests requiring ongoing management decisions
- Property portfolios requiring rent collection, mortgage management, and tenant dealings

- Complex care decisions if cognitive decline occurs

Without a registered LPA in place, if capacity is lost, the family must apply to the Court of Protection for a Deputyship Order, a process that typically takes 6–12 months, costs several thousand pounds, involves ongoing court supervision fees, and often results in restrictions on what can be done with the estate. During that period, bank accounts can be frozen, direct debits may fail, and even a spouse may struggle to access household funds.

REGISTERED, OR IT DOESN'T WORK

LPAs must be registered with the Office of the Public Guardian before they can be used. Registration currently costs £92 per LPA (since 17 November 2025) and takes 4–6 months. An unregistered LPA sitting in a drawer provides no protection if capacity is lost suddenly. Many families discover this only once a crisis has occurred, at which point it is too late.

Digital assets & modern estates

Modern estates include digital assets that traditional Wills rarely addressed: cryptocurrency holdings, online investment accounts, cloud-stored documents, digital photo archives, email accounts, subscription services, and social media. A comprehensive estate plan includes a record of what exists, where it lives, and how executors can access it, typically maintained separately from the Will itself (since Wills become public documents on probate), but updated alongside it.

IMPORTANT

Estate and IHT planning is one of the most technical areas of UK personal finance. Rules interact with pension legislation, trust law, capital gains tax, and cross-border rules. Wills and LPAs are legal documents typically prepared by a solicitor or a STEP-qualified practitioner. This chapter is educational only. Any specific structure, trust, gift, policy, Will, LPA, or disposal, should be reviewed with a regulated adviser or solicitor familiar with your individual position.

Retirement planning does not end at "income lasts 25 years". It must also consider:

- What happens on first death
- What continues automatically
- How the tax position changes for the survivor
- How wrapper sequencing affects the estate

WORKED EXAMPLE

Widow(er) compression: David and Emma, both 68

- £40,000 combined DB income (joint life 50%)
- £25,095 combined State Pension (2026/27)
- £20,000 DC drawdown

Total taxable income = £85,095 combined, split across two personal allowances.

If David dies:

- DB reduces to £20,000
- One State Pension ceases
- Survivor receives one State Pension (~£12,547)

New baseline income: £32,547. If DC drawdown continues at £20,000, taxable income = £52,547, now against a single personal allowance rather than two. Higher-rate exposure emerges that did not previously exist. Sequencing decisions made earlier affect survivorship outcomes later.

Care cost planning: a retirement pillar in its own right

Later-life care costs are one of the largest financial variables most retirees will face, yet they are frequently under-modelled. Residential care in the UK commonly ranges from **£40,000–£80,000 per year**, with specialist dementia or nursing care often exceeding that. Private home care can reach similar levels for those needing substantial daily support.

Self-funding thresholds

State support for care is means-tested and thresholds vary by nation:

- **England:** full self-funding applies where capital exceeds £23,250 (upper limit). Between £14,250 and £23,250, a tariff income applies; below £14,250, capital is

disregarded. A legislated £86,000 cap on lifetime care costs was scrapped in 2024, so there is currently no cap; policy should always be verified at the point of planning.

- **Scotland:** free personal and nursing care is available to adults assessed as needing it, though accommodation costs remain means-tested.
- **Wales and Northern Ireland:** separate regimes, with different capital thresholds and contribution rules.

For additional rate households, means-tested state support is typically irrelevant; self-funding is almost certain. Planning therefore focuses on *how* to fund rather than *whether* to fund.

Funding options

- **Investment drawdown:** funding care from ISA, pension and GIA holdings. Requires planning for longevity: care can last months, or many years.
- **Immediate Needs Annuities (also called Care Fees Annuities):** a single premium buys a guaranteed income payable directly to the care provider, tax-free. Underwriting is medical: rates depend on health and life expectancy at purchase. Eliminates longevity risk on the portion covered.
- **Equity release (Lifetime Mortgages):** borrowing against property value, with interest typically rolling up until death or sale. Can provide care funding without forcing a property sale, but reduces the estate left to beneficiaries. Modern products are regulated and include no-negative-equity guarantees.
- **Family contribution:** in some cases, adult children fund care costs. Interacts with gifting, IHT, and potential Deprivation of Assets rules if structured to reduce the care-recipient's assessable capital.

> **DELIBERATE DEPRIVATION OF ASSETS**
>
> Local authorities have the power to treat gifts made with the intention of avoiding care costs as though the person still held the assets, known as "deliberate deprivation". There is no fixed time limit. Gifting during advancing age or declining health carries heightened risk of being characterised as deliberate deprivation. Genuine long-term estate planning done while in good health years before any care need is less likely to be challenged, but the question is always fact-specific.

Attendance Allowance provides a modest contribution (£76.70 or £114.60 per week depending on care needs, at 2026/27 rates) to anyone over State Pension age requiring care, regardless of income or capital. For additional rate households it will not move the needle on costs, but it is routinely under-claimed.

Depleting capital too aggressively early in retirement may reduce flexibility later. Preserving optionality, through a diversified mix of pension, ISA, and equity in the home, is often prudent precisely because care needs are inherently unpredictable.

Simplification over time

As retirement progresses, multiple small pensions, fragmented accounts, and complex allocations may become burdensome. Clarity benefits the surviving spouse. Documentation matters.

Longevity awareness

Retiring at 60 often implies a 30-year horizon. Planning only to “average life expectancy” may introduce risk. Sustainability and legacy must balance: enjoyment during life, security for the survivor, and efficient transfer where appropriate.



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CHAPTER 15 · FOR SPECIFIC CIRCUMSTANCES

Specialist *Planning Areas*

The planning topics in earlier chapters apply to most additional rate households. This chapter covers three areas that matter greatly to specific subsets: business owners and company directors, those with international or cross-border interests, and those planning across multiple generations. Each has its own technical rules and its own interactions with everything already covered.

IN THIS CHAPTER

- Business owner planning
- International & cross-border planning
- Family & intergenerational planning

Business owner planning

For owner-managers and company directors, personal and company finances are deeply interconnected. Planning decisions typically span both, with several levers that are simply not available to employed individuals.

Remuneration structure

Directors of owner-managed companies typically take income through a combination of salary, dividends and pension contributions. The tax-efficient balance depends on several factors:

- **Salary:** deductible for the company, but attracts employer and employee NIC. For 2026/27, director salaries are typically set at the secondary NIC threshold (£5,000 in most cases, depending on specific calculations) to preserve State Pension qualifying years while minimising NIC. Higher salaries become efficient where the employer is claiming Employment Allowance or where pension salary sacrifice is a planning feature (subject to the April 2029 £2,000 NI cap discussed in Chapter 5).
- **Dividends:** paid from post-corporation-tax profit. Taxed at 10.75% / 35.75% / 39.35% in 2026/27. No NIC applies. The £500 dividend allowance provides limited shelter.
- **Employer pension contributions:** fully deductible against corporation tax, no NIC, no income tax for the director (within the annual allowance). Generally the most tax-efficient "income" structure, subject to the allowance and earnings limits. Importantly, the April 2029 NI cap on salary sacrifice does *not* apply to genuine employer contributions that are not part of a salary sacrifice arrangement.
- **Directors' loans:** short-term financing between company and director, subject to the Section 455 tax charge (35.75% on loans made from 6 April 2026) if loans over £10,000 remain unpaid 9 months after year end. Useful as a cashflow tool, not typically as a long-term remuneration mechanism.

Business Asset Disposal Relief: 18%, and a £500,000 limit from April 2027

Business Asset Disposal Relief (BADR, formerly Entrepreneurs' Relief) reduces the CGT rate on qualifying disposals of trading businesses. The rate rose from 14% to **18% from 6 April 2026**. Budget 2026 then cut the lifetime limit from £1 million to

£500,000 for qualifying disposals on or after 6 April 2027, with special provisions for contracts entered into before that date but not yet completed.

For business owners approaching a sale, this change materially affects the economics of timing, structure, and pre-sale planning. A qualifying sale realising £1m in gains that would have cost £140,000 at the 14% rate now costs £180,000 at 18%. Gains above the lifetime limit are taxed at the main CGT rate of 24%: on a £1m gain made after 6 April 2027, the half above the new £500,000 limit would cost around £30,000 more than under the old limit. A new Founders' Relief, a 10% rate for qualifying founders and early investors in high growth companies from 6 April 2027, is under consultation until 30 November 2026 (see the Budget 2026 section).

Employee Ownership Trusts (EOTs): an alternative exit

An EOT is a trust structure that holds the majority of shares in a trading company for the benefit of all its employees. Selling to an EOT offers specific tax advantages: half of the gain on a qualifying disposal is relieved from CGT for the selling shareholders (relief was cut from 100% to 50% from 26 November 2025, and conditions apply), employees can receive tax-free bonuses up to £3,600 per year, and ongoing ownership continues to support the business.

EOTs have grown in popularity since their introduction in 2014. Recent tax changes from April 2026 have tightened certain EOT conditions, for example, the disqualifying events period was extended from 1 to 4 years, and the trustee control and valuation requirements have been clarified, but the structure remains a meaningful alternative exit route for trading companies, particularly where a traditional trade sale or private equity exit is not attractive.

Company-held investments

Some business owners invest surplus company cash rather than extracting it. The tax economics change depending on what's invested and for how long:

- Investment income (dividends, interest) within a company is taxed at corporation tax (currently 25% main rate; marginal relief between £50,000 and £250,000; 19% small profits rate)
- Dividend income from other UK companies is generally exempt from corporation tax, allowing efficient compounding of equity investments
- Holding significant non-trading investments can jeopardise the trading status required for BADR and Business Relief (IHT), so Chapter 14's £2.5m BR cap interaction becomes particularly important here

BUSINESS RELIEF, TRADING STATUS, AND APRIL 2026

For business owners expecting their shareholding to qualify for Business Relief on death (now capped at £2.5m of qualifying assets per person at 100%, with excess at 50%), maintaining trading status is essential. A company that accumulates too much non-trading investment activity can lose BR qualification, creating a latent IHT exposure that was not anticipated. Professional review of the trading-status balance typically becomes important at significant company cash levels.

International & cross-border planning

For UK residents with overseas interests, or for those considering moving abroad, the tax landscape changed materially from 6 April 2025 with the replacement of the non-dom regime by a residence-based Foreign Income and Gains (FIG) system.

The post-April 2025 FIG regime (in force throughout 2026/27)

The historic remittance basis for non-UK-domiciled individuals was abolished from 6 April 2025. In its place:

- **New UK arrivals** who have been non-UK-resident for the previous 10 tax years can claim relief on foreign income and gains for their first **4 tax years** of UK residence (the "FIG regime"). During this period, foreign income and gains are not taxed in the UK, provided the individual claims the regime each year.
- **After 4 years**, foreign income and gains become fully taxable in the UK on the arising basis, regardless of domicile.
- **Long-term residents** (in the UK for 10 of the last 20 tax years) become subject to UK Inheritance Tax on their worldwide estate, regardless of domicile, a significant shift for those with material overseas assets.
- **Transitional provisions** apply for individuals who were previously taxed on the remittance basis, including a Temporary Repatriation Facility (TRF) with reduced rates for remitting previously untaxed foreign income and gains during a transitional window.

Retiring abroad from the UK

Moving abroad in retirement carries several planning implications:

- **State Pension:** continues to be paid abroad. It only rises with the UK triple lock in countries where the UK has a specific agreement (e.g. EU/EEA, Switzerland). In most other countries (including Canada, Australia, New Zealand), State Pension is frozen at the rate applicable at the first overseas payment.
- **Private pension withdrawals:** may be taxable in the new country of residence under a Double Tax Agreement, sometimes at lower rates than UK taxation would apply. The interaction with the 25% tax-free lump sum depends on the DTA.
- **IHT exposure:** UK real estate remains within the UK IHT net regardless of the owner's residence. Moving abroad does not remove property assets from UK IHT scope.
- **UK ISAs:** subscription ability ceases on leaving the UK, though existing balances can continue to be held (subject to provider terms). Tax-free status within the UK continues, but the new country of residence may or may not recognise the wrapper.

US persons living in the UK

US citizens and green card holders remain subject to US tax on worldwide income regardless of where they live. This creates specific interactions for UK residents with US status:

- UK ISAs and JISAs are not recognised by the IRS and can generate complex PFIC (Passive Foreign Investment Company) reporting if holding non-US-domiciled funds
- UK pension tax-free lump sums may still be taxable in the US
- UK-issued Investment Bonds can trigger adverse US tax treatment as foreign life insurance arrangements
- The UK–US Double Tax Agreement resolves many interactions but not all; specialist cross-border advice is almost always required

> **CROSS-BORDER COMPLEXITY WARNING**
>
> International planning involves at least two tax systems plus any applicable treaty. Mistakes made at the start of international arrangements can be difficult and expensive to unwind years later. Any planning involving non-UK elements

typically benefits from input from both UK-based and jurisdictionally-qualified advisers. This chapter is a general introduction only.

Family & intergenerational planning

For additional rate households, decisions about supporting children, grandchildren and wider family frequently become a core part of financial planning, often alongside the personal tax, retirement, and estate considerations covered earlier.

Junior ISAs (JISAs)

A Junior ISA can be opened by a parent or guardian for a child under 18. The 2026/27 annual limit is **£9,000** per child, separate from the adult £20,000 allowance. The account belongs legally to the child and converts to an adult ISA when they turn 18.

Growth and withdrawals are tax-free within the wrapper. Cash JISAs pay tax-free interest; Stocks & Shares JISAs allow long-horizon equity investment. For families with capacity, consistent JISA contributions from birth can produce significant tax-free capital at age 18, though the child gains full control of the account at that age, a consideration in some family circumstances.

Junior SIPPs

A Junior SIPP is a pension for a child under 18. Parents, grandparents or other relatives can contribute up to £2,880 per year net, which HMRC grosses up to £3,600 (via 20% basic-rate tax relief, available even though the child is typically a non-taxpayer). The child cannot access the funds until minimum pension age (currently 55, rising to 57 in 2028).

The power of a Junior SIPP is the decades of compounding. £2,880 contributed annually from birth to age 18 becomes £64,800 of gross contributions, invested over 50+ years, this can become a meaningful long-term foundation, independent of anything the child later contributes themselves.

Grandparent pension contributions

Grandparents can make pension contributions for grandchildren (via a Junior SIPP) or for adult children. Where the adult child is a higher or additional-rate taxpayer,

grandparent contributions into their pension typically attract the same tax relief as if the child had contributed themselves, reducing the grandparent's estate for IHT purposes while accelerating the child's pension wealth. For children in the 60% band (Chapter 1), these contributions can be particularly tax-efficient.

School fees planning

Private school fees at additional rate household income level frequently run to £20,000–£50,000+ per child per year, with secondary schools often higher than prep. Following the removal of the VAT exemption on private education in January 2025, fees have effectively increased by approximately 20% at schools that passed on the VAT.

Common planning approaches include:

- **Dedicated investment portfolios:** building a Stocks & Shares ISA or GIA earmarked for education costs, allowing funds to compound during early childhood and drawn down across school years
- **Grandparent contributions:** where grandparents wish to help, directly paying school fees can be exempt from IHT under the "normal expenditure out of income" rule discussed in Chapter 14, provided the gifts are made from surplus income without reducing the grandparent's standard of living
- **Offshore bonds:** historically used for school fees planning due to the 5% tax-deferred withdrawal allowance; interactions with current tax rules require review
- **Discretionary family trusts:** for larger-scale planning, particularly where multiple grandchildren will benefit over decades

Gifting to adult children

Gifting to adult children, often for property deposits, university costs beyond fees, or to provide financial independence, is a common feature of higher-net-worth family planning. The core mechanics covered in Chapter 14 apply:

- Potentially Exempt Transfers become fully exempt after 7 years of donor survival
- Annual exemption (£3,000), small gifts, and normal expenditure out of income offer immediate exemption routes
- Gifts with reservation of benefit (for example, gifting a property but continuing to live in it) remain within the estate for IHT
- Interaction with children's student loan calculations, Deprivation of Assets rules, and divorce proceedings should all be considered where large gifts are intended

Multi-generational legacy structures

For substantial estates with clearly articulated legacy intentions, additional structures include:

- **Discretionary trusts:** giving trustees flexibility over distributions to future generations, covered in Chapter 14
- **Family Investment Companies:** as discussed in Chapter 6, allowing controlled passing of economic ownership across generations
- **Accumulation & Maintenance arrangements within Will trusts:** for minor beneficiaries, providing structured distribution at specified ages
- **Family charter / governance documents:** non-legal frameworks setting out the family's approach to wealth, supporting intergenerational conversations that often matter as much as the structures themselves

WHY THESE THREE AREAS SIT TOGETHER

Business owner, international, and family planning each involve a level of specialisation that sits beyond general financial planning. They often require coordination between multiple advisers, accountants, tax specialists, solicitors, wealth managers, and the right combination depends heavily on individual circumstances. For many additional rate taxpayers, one or more of these areas will apply in some form. For a minority, all three will apply together. Structured coordination is typically what produces the best outcomes, rather than optimisation of any single area in isolation.



Twenty-five years, two strategies, one household.

CHAPTER 16 · BRINGING IT TOGETHER

16

Integrated Case Study: *A 25-Year Model*

To understand how visibility, layering, sequencing, asset location and sustainability interact, we model a full 25-year retirement. **This is an illustrative simulation only: not a prediction.** Outcomes depend on actual market returns, inflation, spending decisions, individual circumstances and future legislation.

IN THIS CHAPTER

- Starting position (age 60)
- Strategy A: “Defer Pension, Use ISA First”
- Strategy B: “Blended Early Sequencing”
- What the 25-year model reveals
- Reflection questions

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IMPORTANT: WORKED CASE STUDY FOR A TWO-PERSON HOUSEHOLD

This case study assumes a **couple** (Mark and Helen), both age 60, both with full NI records qualifying for the full new State Pension. For a **single additional rate taxpayer**, State Pension, target household spend, and the whole simulation would be materially different (notably only one State Pension at ~£12,547.60/year rather than ~£25,095 combined). Readers are encouraged to apply the *framework* rather than the specific numbers to their own position, and to model their own scenario with a regulated adviser.

Starting position (age 60)

WORKED EXAMPLE

Mark and Helen, both age 60

Assets:

- £1,100,000 Defined Contribution pensions (combined)
- £300,000 Stocks & Shares ISAs
- £40,000 per year Defined Benefit pension (Mark only, index-linked, capped at 2.5%, joint-life 50%)
- Full State Pension from age 67, £12,547.60 each (£241.30/week × 52) = **~£25,095 combined** for the couple, 2026/27 rates

Target household income: £75,000 per year (gross, in today's terms)

Assumptions: 3% inflation, 5% annual investment return, no taper or MPAA issues, no care cost shock.

We compare two strategies.

Strategy A: "Defer Pension, Use ISA First"

Follows a common intuition: preserve the pension (for future growth and estate planning), spend the more accessible pot first.

- Minimal DC withdrawals before age 67
- Heavy DC withdrawals once State Pension begins
- ISA largely depleted early

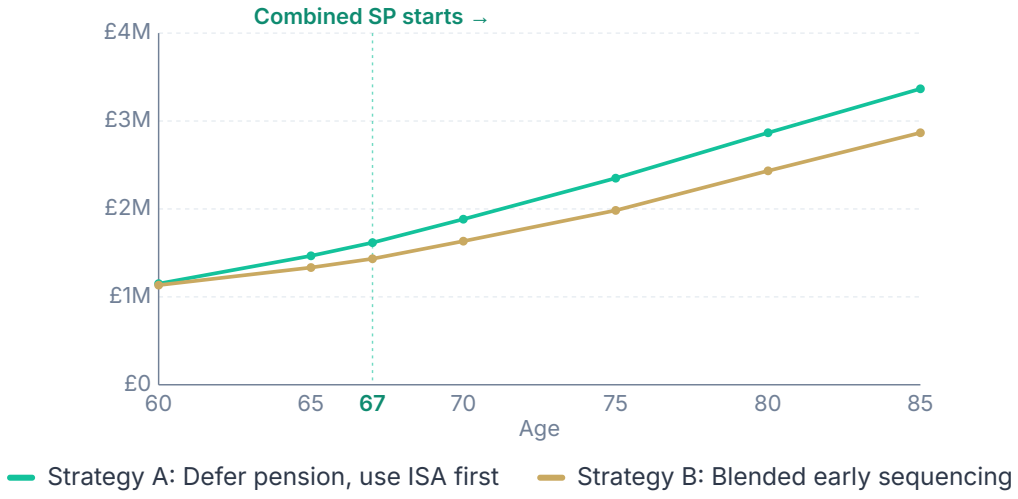
Strategy B: "Blended Early Sequencing"

Uses the Chapter 9 principle that the early retirement window is a planning asset.

- Moderate DC withdrawals before 67
- Partial ISA use
- Smoother taxable income profile across the 25 years
- Reduced later compression as State Pension and DB combine

Chart 1: DC Pension Balance Over 25 Years

Illustrative simulation only, not a prediction. Nominal DC pension pot value year-on-year. Both strategies assume a 5% annual return. Outcomes depend on actual market performance, inflation and individual circumstances.

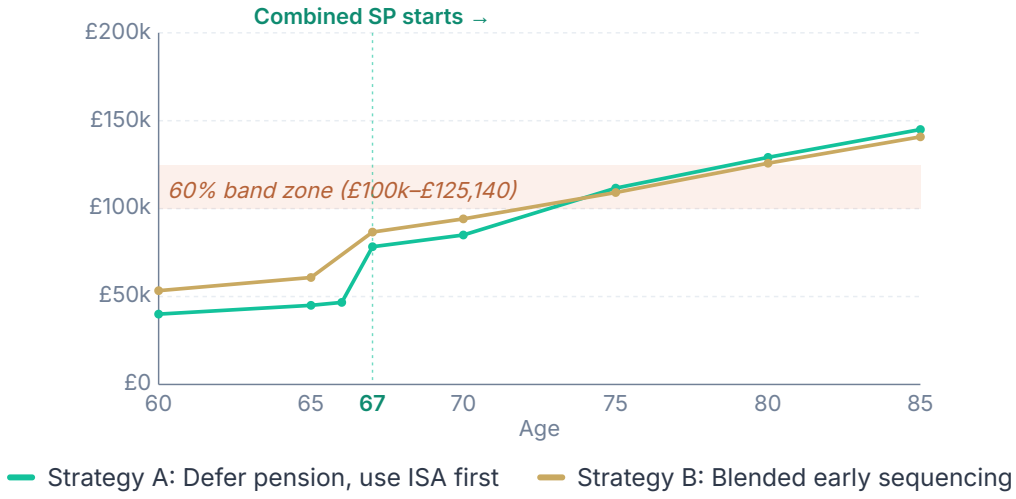


Both DC pots grow substantially over 25 years at 5% assumed return. Strategy A's DC pot reaches ~£3.37M by age 85 because it is barely touched until 67; Strategy B reaches ~£2.87M because it is drawn on from the start. That £500k difference

becomes the key variable under the April 2027 pension IHT rules (see Chart 3 discussion).

Chart 2: Taxable Income Over 25 Years

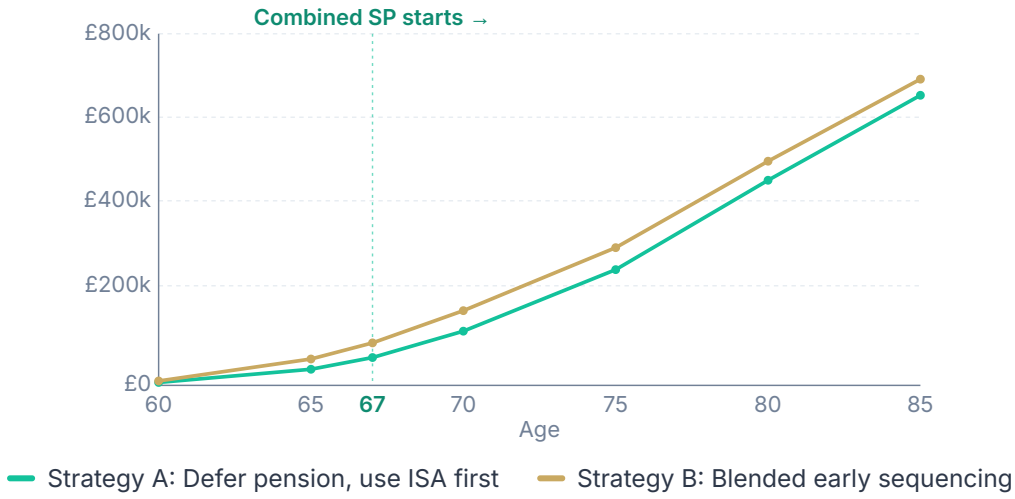
Illustrative simulation only, not a prediction. Annual taxable income (DB + State Pension + taxable portion of DC). ISA withdrawals are tax-free and not shown.



Both strategies show a jump at age 67 as the combined State Pension (~£25k base, inflation-adjusted to ~£31k by year 7) begins. Strategy A's early-year taxable income is much lower (£40–£46k, DB only) because ISA withdrawals are tax-free; Strategy B's is £53–£63k because DC withdrawals start from day one. In later years, both rise into and through the 60% band zone as inflation pushes target income higher.

Chart 3: Cumulative Income Tax Paid Over 25 Years

Illustrative simulation only, not a prediction. Running total of UK income tax paid on all taxable withdrawals, assuming 2026/27 bands held constant. Excludes estate tax, covered separately below.



Over 25 years of lifetime income tax, Strategy A actually pays **less** (~£660k) than Strategy B (~£696k), because years 0–6 only tax the DB pension while ISA withdrawals go tax-free. This is the counter-intuitive part of the analysis: deferring pension draws isn't tax-inefficient during life. The argument for Strategy B is different, and it sits in the estate tax layer, see next section.

THE ESTATE-TAX LAYER (FROM APRIL 2027)

At age 85, Strategy A's DC pot is roughly £3.37M; Strategy B's is ~£2.87M, a £500,000 difference. Under the April 2027 rules, that extra DC pension sits within the IHT estate. For an estate already above available nil-rate bands, the £500k difference faces 40% IHT (£200k tax), and when the beneficiary draws it down, a further 45% income tax on the £300k that remains (for an additional-rate heir) = ~£135k more. In that scenario, Strategy A's £36k income-tax saving during life is outweighed by ~£335k of additional estate-and-drawdown tax on the preserved pension pot.

Net result for inheritance: Strategy B typically leaves more net of tax to the next generation, despite paying marginally more income tax during life. The April 2027 rule change is what flips the long-term calculus in favour of drawing pension earlier rather than preserving it.

What the 25-year model reveals

1. Early deferral is not automatically safer

Strategy A feels cautious: "leave the pension untouched". But by age 67:

- State Pension consumes allowance space automatically (~£25,095 combined)
- Defined Benefit income already compresses bands
- Larger DC withdrawals are now required to meet the income target
- More income sits in higher-rate territory

Deferral concentrates tax exposure in the later years rather than smoothing it.

2. Blended sequencing smooths tax over time

Strategy B uses available band headroom before 67, reduces the future DC burden, and produces steadier taxable income. The annual difference is subtle. Over 25 years, the cumulative tax difference becomes material.

3. Inflation is the real escalator

At 3% inflation, £75,000 today becomes approximately:

- £100,000+ by mid-retirement
- £150,000+ by later retirement

Even without lifestyle inflation, nominal income needs roughly double over a 25-year horizon. Withdrawal pacing and compounding cannot be considered separately.

4. The survivor dimension

If one spouse dies at age 78:

- Defined Benefit may reduce to 50% (joint-life)
- One State Pension ceases
- One personal allowance is lost

The surviving spouse can move into higher marginal rates and experience tax compression alone. Sequencing decisions made earlier affect survivorship outcomes later.

5. Crossing £100,000 in retirement

In a later year, suppose taxable household income reaches £102,000 (inflation-driven, not lifestyle-driven). Personal allowance begins to taper. £2,000 of income is now in the 60% effective band. Inflation-driven withdrawals, combined with the layering of State Pension and DB, can push an unprepared retiree into the 60% zone purely through normal income-need increases, without any deliberate increase in spending.

WHAT THE CASE STUDY SHOWS

Two retirees with identical starting assets, identical target income, and identical market returns can experience materially different tax outcomes over 25 years, simply because of structure, sequencing, and coordination. Annual differences are small. Compound differences are not.

6. Pension wealth and the April 2027 IHT change

If Mark and Helen's combined DC pension wealth is largely unused at second death, it now (from April 2027) falls within the IHT estate. Strategy A, which preserved the pension, produces a larger residual DC balance at death than Strategy B. Depending on estate size and inheritance objectives, this can mean Strategy A leaves a larger gross estate but a significantly smaller net estate after IHT and income tax on beneficiary drawdown.

The planning question shifts: "preserve pension for legacy" was once close to axiomatic. After April 2027, it becomes a more nuanced trade-off between (i) compounding efficiency during life, (ii) IHT exposure on residual pension wealth at death, and (iii) income tax on beneficiary drawdown. The explainer at the start of this guide, comparing IHT-then-income-tax compound rates (up to ~67% for additional-rate heirs) directly reshapes the case for, or against, deferral.

Reflection questions

If this case study resonates, common reflection questions include:

- Have I modelled my income at multiple ages (e.g. 60, 67, 75, 85) rather than just a single retirement number?
- Have I stress-tested a 20% downturn in the first 2–3 years of retirement?
- Have I modelled what happens on first death, not just during joint retirement?
- Have I modelled inflation at a plausible multi-decade average (2.5–3%) rather than 2% nominal?
- Have I considered scenarios where taxable income crosses £100,000?
- Have my pension sequencing decisions been reviewed since the April 2027 pension IHT change was confirmed?

Even one unanswered question in this list is typically where structured modelling adds value. Retirement rarely fails due to a single decision. It drifts, and drift is usually structural.

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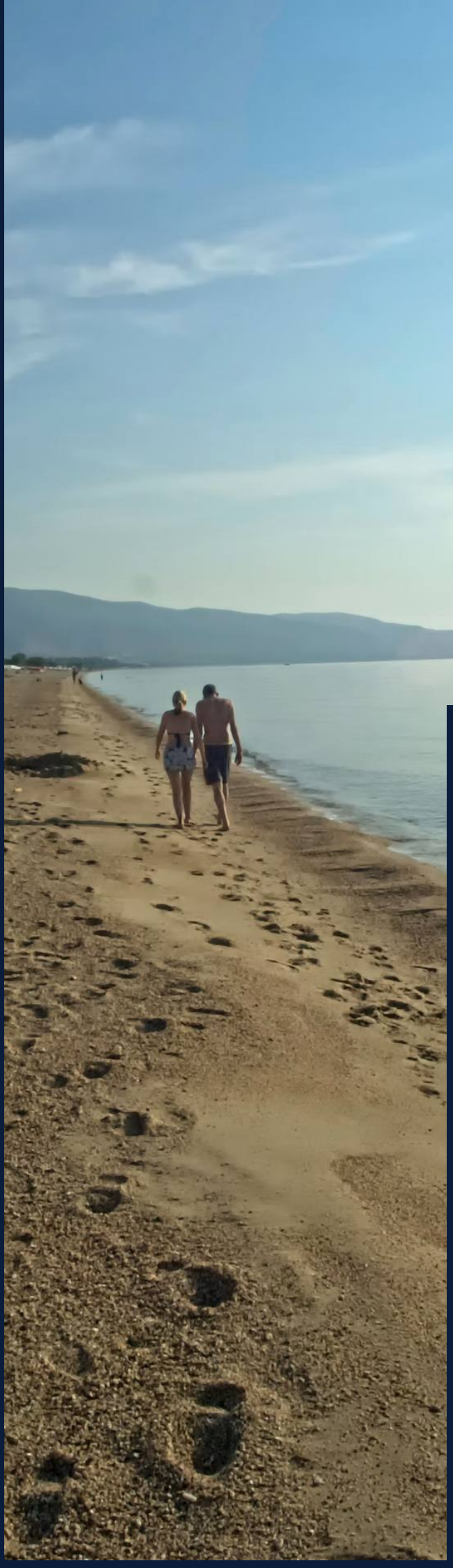
TAKEAWAYS AND TOOLS

Quick *Reference*

Three summary tools to help internalise the content of this guide: a side-by-side comparison of pension vs ISA, the planning areas typically reviewed annually by additional rate taxpayers, and the mistakes most commonly observed in this bracket.

IN THIS CHAPTER

- ISA vs Pension: a decision framework
- What Additional Rate Taxpayers Typically Review Each Year
- Common Mistakes Additional Rate Taxpayers Make



ISA vs Pension: a decision framework

ISAs and pensions are often discussed as alternatives, but for most additional rate households they perform complementary roles within a coordinated plan. The table below summarises the core differences relevant to 2026/27 planning.

Scenario	Pension	ISA
Tax relief on contribution	Yes, at the individual's marginal rate (up to an effective 60% within the £100k–£125,140 band)	None, contributions are made from taxed income
Growth inside wrapper	Free of UK income tax and CGT	Free of UK income tax and CGT
Access	Generally from minimum pension age (55, rising to 57 in 2028)	Any time, without penalty
Tax on withdrawal	Up to 25% tax-free (within the £268,275 Lump Sum Allowance); remainder taxed at marginal rate	Fully tax-free
Annual contribution limit (2026/27)	£60,000 standard Annual Allowance (tapered to £10,000 at higher incomes)	£20,000 combined across all ISA types
Treatment inside the 60% band	Reduces taxable income pound-for-pound, highest-leverage planning lever	No effect on taxable income in the current year
Inheritance Tax treatment	Historically outside the estate; from 6 April 2027 unused DC pension funds fall within the IHT estate	Within the estate for IHT (no change)
If you expect a lower retirement tax rate	More advantageous, relief taken at a high rate, withdrawal taxed at a lower rate	Less advantageous, no upfront relief
If you expect a similar or higher retirement tax rate	Less advantageous, smaller net tax benefit	More advantageous, tax-free withdrawals
Typical role in a plan	Long-horizon retirement wealth; high-leverage tax relief in peak earning years	Short/medium-term flexibility; bridge income in early retirement

HOW THE TWO WORK TOGETHER

For most additional rate taxpayers, the most valuable strategy is typically not "pension vs ISA" but "pension and ISA". Pensions capture the high-rate tax relief at contribution. ISAs preserve flexibility and pre-retirement access. Together they form the two-pot system that supports both the early retirement window (Chapter 9) and long-horizon wealth compounding.

What Additional Rate Taxpayers Typically Review Each Year

The planning areas below are commonly revisited annually, usually in the weeks leading up to tax year end (5 April). They do not replace professional review; they provide structure for a personal check-in.

Core annual review areas

- **Pension contributions**, against the £60,000 annual allowance (or tapered amount), plus available carry-forward from the previous three tax years
- **ISA subscriptions**, £20,000 used / unused for each adult in the household; JISA contributions for children
- **Bonus & RSU timing**, where timing flexibility exists, whether any income can be planned across tax years to manage exposure to the 40%, 60% or 45% bands
- **Dividend & CGT allowances**, £500 dividend allowance and £3,000 CGT annual exempt amount; harvesting opportunities in taxable portfolios

Broader annual review areas

- **Protection adequacy**, life cover vs mortgage / income protection vs salary / critical illness; any employer cover still in place
- **Beneficiary nominations**, on each pension and life policy; current given latest family circumstances
- **Will & LPAs**, still reflect current wishes, family structure, and asset base
- **IHT exposure**, estate value vs available nil-rate bands; gifting potential; seven-year clock on prior PETs
- **Investment portfolio**, rebalancing against target allocation; wrapper positioning drift

- **Personal savings allowance**, £1,000 / £500 / £0 depending on band; interaction with Cash ISA positioning
- **Gift Aid & charitable giving**, potential for extending basic-rate band and recovering personal allowance
- **Mortgage position**, rate end dates; overpayment-vs-pension trade-off; remortgage review
- **Cashflow forecast**, updated expense assumptions; emergency reserve still adequate

Common Mistakes Additional Rate Taxpayers Make

These are set out in full in **Chapter 12**, which covers eleven of them: what the mistake is, the belief that commonly sits behind it, what the position actually is, and where in this guide each one is explained in detail.



Closing

FINAL THOUGHTS

Conclusion & *Next Steps*

Financial planning at the additional rate is rarely about a single decision. It is about how decisions interact, across tax years, across household members, across legislation that changes underneath the plan. This guide has mapped that landscape. The remaining question is how to act on it.

IN THIS CHAPTER

- The core thesis of this guide
- Where planning often shifts from DIY to structured
- About TrustEvo

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The core thesis of this guide

Sixteen chapters, one underlying idea: at higher incomes, the most valuable planning work is not about finding the single best product, wrapper or timing decision. It is about building a structure in which those decisions compound rather than cancel each other out.

The tax picture (Chapters 1 and 2). The 60% band and frozen thresholds set the context. Fiscal drag is doing more work than any single tax rise.

The groundwork (Chapters 3 and 4). Cash reserves, mortgage structure and protection keep the rest of the plan operable if income is interrupted.

Building the pension (Chapters 5 and 6). The annual allowance moves with income, and the wrapper chosen for each pound decides how it is taxed for decades.

Drawing it down (Chapters 7 to 11). Income layering, longevity, the early-retirement window, sustainable withdrawals and the multi-vehicle drawdown order all operate together.

Joining it up (Chapters 12 and 13). The eleven common mistakes, and what coordination is worth in figures.

Passing it on (Chapters 14 and 15). The April 2027 pension change, the Business Relief cap, Wills, LPAs and the specialist areas that apply to business owners, international families and multi-generational planning.

The model (Chapter 16). A 25-year case study showing how the same starting position can produce materially different outcomes depending on structure.

Where planning often shifts from DIY to structured

Most additional rate taxpayers can self-manage individual planning decisions. The shift typically occurs when those decisions start to interact. Common triggers for structured planning include:

- You hold both Defined Benefit and Defined Contribution pensions, with materially different tax treatments

- Your projected retirement income may approach or exceed £100,000, bringing you back into the 60% band in retirement
- You plan to retire before State Pension age and need to sequence income across multiple phases
- You rely heavily on pension drawdown for income, while also managing IHT exposure from April 2027
- You have not modelled the financial impact of first death on the surviving spouse
- You have not stress-tested a 20% market downturn in the first years of retirement
- You are unsure how tapering or the MPAA affects you specifically
- You own a business or have significant AIM exposure, and the April 2026 Business Relief cap has changed your IHT outlook
- Your protection arrangements have not been reviewed since your income and liabilities meaningfully changed
- You have accumulated assets above typical ISA + pension capacity and are evaluating wrappers like bonds, VCT, EIS, or FICs

Even one of these can introduce structural complexity. Planning decisions rarely feel urgent. But small misalignments, particularly around tax, sequencing, and survivorship, compound quietly over decades.

About TrustEvo

TrustEvo is a UK introductions service. If appropriate, we can introduce you to an FCA-regulated adviser for an initial, no-obligation conversation. We do not provide advice ourselves. We do not sell products. Our role is to introduce individuals to regulated advisers whose experience commonly extends to the planning areas raised.

For many readers of this guide, the next step is not another article or another product brochure. It is a structured conversation with someone authorised to look at your individual position, model the specific interactions discussed here, and recommend a coordinated approach.

Sources & primary references

Key figures and legislative positions in this guide draw on the following primary sources. All readers are encouraged to verify current rules against these sources before acting.

1. HM Treasury: Budget 2026 document (28 October 2026)
2. HMRC: Budget 2026: Overview of Tax Legislation and Rates, with Annex A: rates and allowances
3. HMRC and GOV.UK: Income Tax rates and Personal Allowances (2026/27 bands and the £100,000 taper)
4. GOV.UK: Inheritance Tax on unused pension funds and death benefits (April 2027 change, Finance Act 2026)
5. GOV.UK: Salary sacrifice reform for pension contributions from 6 April 2029
6. House of Commons Library: National Insurance Contributions (Employer Pensions Contributions) Bill
7. GOV.UK: Agricultural Property Relief and Business Property Relief changes from 6 April 2026
8. GOV.UK: The new State Pension (including the £241.30/week figure for 2026/27)
9. GOV.UK: Pension Annual Allowance, tapered Annual Allowance, and MPAA
10. GOV.UK: Inheritance Tax, nil-rate band and residence nil-rate band
11. GOV.UK: Capital Gains Tax rates and Business Asset Disposal Relief
12. GOV.UK: Individual Savings Accounts (ISA) allowance

Sources accessed 28 October 2026 and reflect legislation and announcements up to the Budget of 28 October 2026. Tax rules evolve; always verify current figures before taking action.

PLEASE READ

Important information

> **Educational content only.** This guide does not constitute financial, investment or tax advice. The information provided is for general educational purposes and should not be relied upon as the sole basis for decision-making. Individual circumstances vary; you should speak with an FCA-regulated financial adviser before taking action based on anything within this guide. TrustEvo is a UK introductions service and is not authorised or regulated by the Financial Conduct Authority.

Last updated: 28 October 2026 (Budget 2026) · **Tax year:** 2026/27

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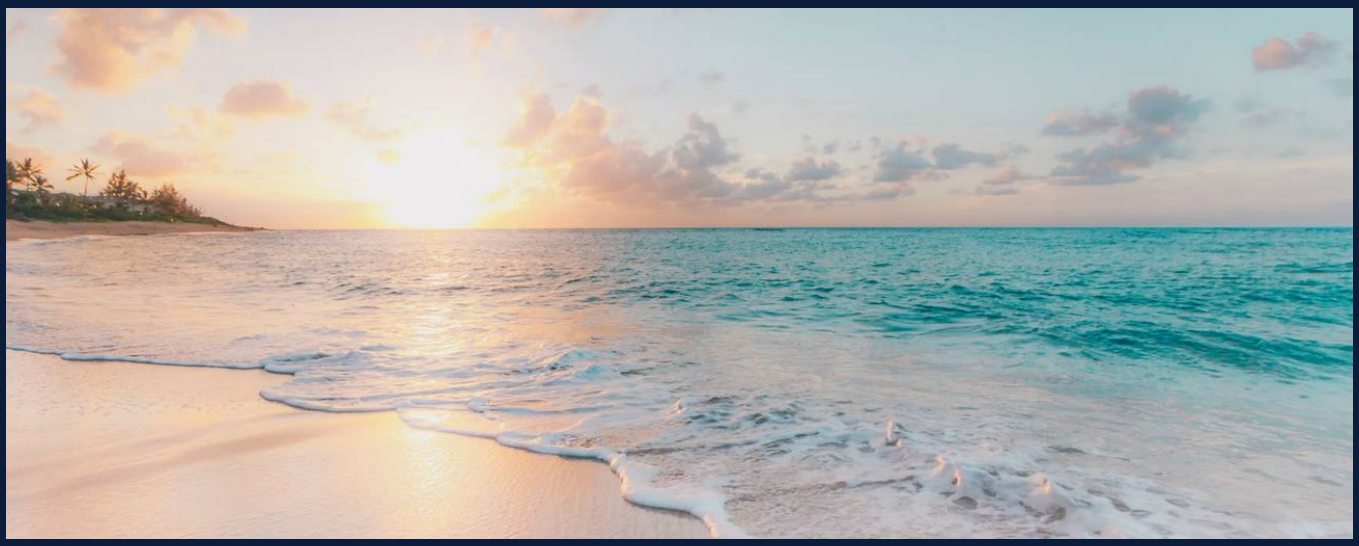
Tax treatment depends on individual circumstances and may change. Investment values can go down as well as up. Individuals may get back less than they invest.

References to tax-efficient structures are illustrative; suitability depends on personal circumstances and must be assessed by a regulated adviser. Worked examples use simplifying assumptions and are not forecasts.

Figures quoted in this guide are based on UK legislation and HMRC thresholds applicable for the 2026/27 tax year and reflect changes announced up to the Budget of 28 October 2026. Legislation may be amended or replaced; always confirm current figures against primary sources before acting.

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NEXT STEPS

From reading to *planning*

Most of the decisions in this guide are manageable on their own. The complexity arrives when they start to interact: across tax years, across a household, and across legislation that changes underneath the plan. That is usually the point where a structured conversation with a regulated adviser becomes worthwhile.

OPTION 1 · EXPLORE

A 15-minute intro call with the TrustEvo team

A short call with a member of our team, not an adviser, to understand your circumstances and, if you would like to proceed, connect you with a regulated adviser. No obligation, and no financial recommendations on the call.

Book an intro call

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A complimentary consultation with an FCA-regulated adviser

Tell us about your situation and we will introduce you to an FCA-regulated adviser who commonly works with people in similar positions, for an initial, no-obligation conversation.

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